

Samsung Biologics Co., Ltd. and Subsidiaries

Consolidated Financial Statements

December 31, 2025 and 2024

Samsung Biologics Co., Ltd. and Subsidiaries

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December 31, 2025 and 2024

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Independent Auditors' Report

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of
Samsung Biologics Co., Ltd

Opinion

We have audited the consolidated financial statements of Samsung Biologics Co., Ltd and its subsidiaries ("the Group"), which comprise the consolidated statement of financial position as of December 31, 2025 and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, including material accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as of December 31, 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Korean International Financial Reporting Standards ("K-IFRS").

We also have audited, in accordance with Korean Standards on Auditing (KSAs), the Group's Internal Control over Financial Reporting for Consolidation Purposes ("ICFR") as of December 31, 2025 based on the criteria established in Conceptual Framework for Designing and Operating Internal Control over Financial Reporting issued by the Operating Committee of Internal Control over Financial Reporting in the Republic of Korea, and our report dated February 25, 2026 expressed an unmodified opinion on the effectiveness of the Group's internal control over financial reporting.

Basis for Opinion

We conducted our audit in accordance with KSAs. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Republic of Korea, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters

Without qualifying our opinion, we draw attention to the following:

Administrative lawsuit against a ruling of the Securities and Futures Commissions

As described in Note 35 to the consolidated financial statements, the Securities and Futures Commission (the "SFC") resolved to impose measures on the Group in relation to alleged errors in accounting treatment for the Group's investment in Samsung Bioepis Co., Ltd. in the Group's financial statements for the period from 2012 to the first half of 2018.

The Group filed an application with the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and subsequently received a Court decision granting the suspension. In relation to this, the appeal and re-appeal filed by SFC were dismissed by the Seoul High Court and the Supreme Court, respectively. The Group submitted claims for cancellation of the measures and related administrative lawsuit is in progress. It is not possible to predict the outcome.

Disclosure of Discontinued Operations Resulting from a Spin-off

As described in Notes 1 and 34 to the consolidated financial statements, pursuant to the approval of the shareholders at the general shareholders' meeting held on October 17, 2025, the Group completed a spin-off of its biopharmaceutical development and commercialization business with November 1, 2025 as the effective date of the spin-off, establishing a newly incorporated entity, Samsung Epis Holdings Co., Ltd.

Accordingly, the consolidated entity has classified the results of operations arising from the business of the newly established entity as discontinued operations and has restated the prior-year consolidated statement of comprehensive income and the related notes.



Key Audit Matter

Key audit matter is a matter that, in our professional judgment, was of most significance in our audit of the consolidated financial statements as of and for the year ended December 31, 2025. This matter was addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter.

Revenue recognition of CMO batch sales

The Group is principally engaged in the contract manufacturing organization (“CMO”) business, which involves the contract manufacturing of biopharmaceutical products. The CMO business consists of technology transfer procedures, regulatory approval processes, and commercial manufacturing processes. The Group recognizes revenue over the period during which control of the manufactured biopharmaceutical products is transferred to customers (see Note 2).

The timing of transfer of control for CMO batch sales may vary depending on the contractual terms agreed between the parties. Accordingly, we identified the appropriateness of the cut-off of revenue recognition for CMO batch sales as a significant risk. Given that the related amounts are material to the consolidated financial statements, we identified this matter as a key audit matter.

In relation to the Group’s accounting for revenue recognition, our primary audit procedures included the following:

- Obtaining an understanding of the Group’s processes related to CMO batch sales
- Evaluating the design and operating effectiveness of internal controls over the cut-off of CMO batch sales recognition
- Inspecting key project-specific contracts to assess the appropriateness of the timing of revenue recognition
- Testing, on a sample basis, the appropriateness of the timing of revenue recognition for individual projects

Other Matters

The consolidated financial statements of the Group for the year ended 2024 were audited by another auditor who expressed an unmodified opinion on those statements on February 25, 2025.

The procedures and practices utilized in the Republic of Korea to audit such consolidated financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with K-IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group’s financial reporting process.



Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with KSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with KSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used in the preparation of the consolidated financial statements and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditors' report is Jae-Kwang Ra.



Seoul, Korea
February 25, 2026

KPMG Samjong Accounting Corp.

This report is effective as of February 25, 2026, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying consolidated financial statements and notes thereto. Accordingly, the readers of the audit report should understand that the above audit report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Statements of Financial Position
December 31, 2025 and 2024

(in Korean won)

	Notes	December 31, 2025	December 31, 2024
Assets			
Current assets			
Cash and cash equivalents	5,6,32,33	₩ 148,851,266,520	₩ 391,221,617,203
Short-term financial instruments	5,33	1,307,174,500,000	907,350,000,000
Trade and other receivables	5,8,31,33	676,466,918,976	1,165,428,133,505
Inventories	10,25	2,128,164,162,722	2,818,275,774,375
Contract assets	9,33	103,627,211,536	81,304,346,042
Other current financial assets	5,11,33	29,057,433,784	32,717,174,901
Other current assets	12	15,025,022,369	121,820,768,551
		<u>4,408,366,515,907</u>	<u>5,518,117,814,577</u>
Non-current assets			
Long-term financial instruments	5,7,33	226,947,395	385,357,612
Financial assets at fair value through profit or loss	5,33	-	6,718,968,273
Trade and other receivables	5,8,31,33	-	23,887,946,322
Investments in associates	4,13,31	78,098,117,569	52,501,095,426
Property, plant and equipment	14	6,028,651,127,383	5,373,953,520,707
Intangible assets	15	60,193,270,276	5,565,302,719,312
Right-of-use asset	19	8,880,844,158	463,528,640,506
Net defined benefit assets	21	23,295,787,579	11,219,728,018
Contract assets	9,33	307,972,154,079	286,016,431,434
Deferred tax assets	28	132,836,645,814	165,088,277
Other non-current financial assets	5,11,33	10,627,367,793	29,291,026,010
Other non-current assets	12	1,593,198,884	5,208,013,037
		<u>6,652,375,460,930</u>	<u>11,818,178,534,934</u>
Total assets		<u>₩ 11,060,741,976,837</u>	<u>₩ 17,336,296,349,511</u>

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Statements of Financial Position, Continued
December 31, 2025 and 2024

(in Korean won)

	Notes		2025		2024
Liabilities					
Current liabilities					
Trade and other payables	5,17,21,30,31,33	₩	486,387,276,811	₩	1,511,088,376,965
Emission liability	18		551,917,600		500,890,270
Debentures and borrowings	5,16,30,32,33		319,712,704,765		327,000,000,000
Contract liabilities	9,31		161,849,008,321		99,482,074,635
Lease liabilities	5,19,32,33		7,257,974,993		138,594,047,222
Current tax liabilities	28		355,699,920,176		375,387,991,723
Other current liabilities	9,20,31		1,201,458,529,835		1,401,135,044,994
			<u>2,532,917,332,501</u>		<u>3,853,188,425,809</u>
Non-current liabilities					
Trade and other payables	5,17,21,31,33		23,361,343,268		33,726,570,667
Debentures and borrowings	5,16,30,32,33		599,011,716,516		1,012,756,707,992
Derivative liabilities	5		-		5,134,918,626
Net defined benefit liabilities	21		-		5,547,112,829
Contract liabilities	9,31		377,588,143,176		477,371,137,472
Lease liabilities	5,19,32,33		1,112,062,611		7,888,720,135
Deferred tax liabilities	28		-		972,062,297,662
Current tax liabilities	28		-		5,128,660,939
Other non-current liabilities	9,20,31		75,640,730,780		58,815,735,362
			<u>1,076,713,996,351</u>		<u>2,578,431,861,684</u>
Total liabilities			<u>3,609,631,328,852</u>		<u>6,431,620,287,493</u>
Equity					
Equity Attributable to Owners of Parent			7,451,110,647,985		10,904,676,062,018
Share capital	1,22		115,727,377,500		177,935,000,000
Share premium	22		3,391,926,183,382		5,663,111,352,594
Capital adjustments	22		(2,907,695,001,592)		-
Accumulated other comprehensive loss	21,22		(19,808,592,095)		(22,978,910,773)
Retained earnings	22		6,870,960,680,790		5,086,608,620,197
Total equity			<u>7,451,110,647,985</u>		<u>10,904,676,062,018</u>
Total liabilities and equity		₩	<u>11,060,741,976,837</u>	₩	<u>17,336,296,349,511</u>

The above consolidated statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Statements of Comprehensive Income
Years Ended December, 2025 and 2024

			2025		2024
(in Korean won)	Notes				
Revenue	4,23,31	₩	4,556,971,695,180	₩	3,497,145,675,782
Cost of sales	9,10,23,25,31		(2,040,331,283,534)		(1,785,960,975,728)
Gross profit			2,516,640,411,646		1,711,184,700,054
Selling, general and administrative expenses	24,25,31		(447,419,145,016)		(389,818,319,466)
Operating profit			2,069,221,266,630		1,321,366,380,588
Other income	26,31		7,288,875,232		4,450,807,345
Other expenses	26,31		(10,379,656,301)		(6,346,902,705)
Finance income	5,27		150,783,120,431		208,463,997,728
Finance costs	5,27		(141,367,792,979)		(145,724,097,183)
Share of profit (loss) of associates	13		43,085,439,671		2,658,643,974
Profit before income tax			2,118,631,252,684		1,384,868,829,747
Income tax expense	28		(504,300,943,228)		(344,567,288,516)
Profit from continuing operations		₩	1,614,330,309,456	₩	1,040,301,541,231
Profit from discontinued operations	34		170,021,751,137		43,014,344,755
Profit for the year		₩	1,784,352,060,593	₩	1,083,315,885,986
Profit attributable to:					
Owners of the Parent Company		₩	1,784,352,060,593	₩	1,083,315,885,986
Non-controlling interests			-		-
Other comprehensive income (loss)					
<i>Items that will not be reclassified to profit or loss</i>					
Remeasurements of net defined benefit liabilities (assets)	21,22	₩	(5,296,511,169)	₩	(11,563,191,108)
Share of other comprehensive loss of associates	13,22		-		-
<i>Items that may be subsequently reclassified to profit or loss</i>					
Foreign currency translation gain (loss)	22		(96,721,483)		2,430,954,795
Share of other comprehensive loss of associates	13,22		-		-
Other comprehensive income (loss) for the year, net of tax			(5,393,232,652)		(9,132,236,313)
Total comprehensive income for the year		₩	1,778,958,827,941	₩	1,074,183,649,673
Total comprehensive income for the year is attributable to:					
Owners of the Parent Company		₩	1,778,958,827,941	₩	1,074,183,649,673
Non-controlling interest			-		-
Earnings per share					
Basic earnings and diluted earnings per share from continuing operations	29	₩	24,091	₩	14,616
Basic earnings and diluted earnings per share from discontinued operations	29		2,537		605

The above consolidated statements of comprehensive income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Statements of Changes in Equity
Years Ended December 31, 2025 and 2024

(in Korean won)

	Notes	Share capital	Share premium	Capital Adjustments	Accumulated other comprehensive income (loss)	Retained earnings	Non-controlling interests	Total
Balance at January 1, 2024		₩ 177,935,000,000	₩ 5,663,111,352,594	₩ -	₩ (13,846,674,460)	₩ 4,003,292,734,211	₩ -	₩ 9,830,492,412,345
Total comprehensive income								
Profit for the year		-	-	-	-	1,083,315,885,986	-	1,083,315,885,986
Other comprehensive income								
Remeasurements of net defined benefit liabilities (assets)	21,22	-	-	-	(11,563,191,108)	-	-	(11,563,191,108)
Foreign currency translation gain	22	-	-	-	2,430,954,795	-	-	2,430,954,795
Total comprehensive income for the year		-	-	-	(9,132,236,313)	1,083,315,885,986	-	1,074,183,649,673
Balance at December 31, 2024		₩ 177,935,000,000	₩ 5,663,111,352,594	₩ -	₩ (22,978,910,773)	₩ 5,086,608,620,197	₩ -	₩ 10,904,676,062,018
Balance at January 1, 2025		₩ 177,935,000,000	₩ 5,663,111,352,594	₩ -	₩ (22,978,910,773)	₩ 5,086,608,620,197	₩ -	₩ 10,904,676,062,018
Total comprehensive income								
Profit for the year		-	-	-	-	1,784,352,060,593	-	1,784,352,060,593
Other comprehensive income								
Remeasurements of net defined benefit liabilities (assets)	21,22	-	-	-	(5,296,511,169)	-	-	(5,296,511,169)
Foreign currency translation gain	22	-	-	-	(96,721,483)	-	-	(96,721,483)
Total comprehensive income for the year		-	-	-	(5,393,232,652)	1,784,352,060,593	-	1,778,958,827,941
Transactions with owners recognized directly in equity								
Spin-off	34	(62,207,622,500)	(2,271,185,169,212)	(2,815,682,487,935)	8,563,551,330	-	-	(5,140,511,728,317)
Acquisition of treasury shares	34	-	-	(92,012,513,657)	-	-	-	(92,012,513,657)
Balance at December 31, 2025		₩ 115,727,377,500	₩ 3,391,926,183,382	₩ (2,907,695,001,592)	₩ (19,808,592,095)	₩ 6,870,960,680,790	₩ -	₩ 7,451,110,647,985

The above consolidated statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Statements of Cash Flows
Years Ended December 31, 2025 and 2024

<i>(in Korean won)</i>	Notes	2025	2024
Cash flows from operating activities			
Cash flows generated from operating activities	32	₩ 2,840,043,194,400	₩ 1,960,437,982,035
Interest received		47,207,292,123	67,929,911,185
Interest paid		(37,080,761,605)	(62,086,128,444)
Income tax paid		(602,362,298,367)	(307,026,362,113)
Net cash inflow from operating activities		2,247,807,426,551	1,659,255,402,663
Cash flows from investing activities			
Decrease in short-term financial instruments		3,300,000,000,000	4,257,000,000,000
Disposal of property, plant and equipment	14	1,636,892,000	1,389,150,496
Decrease in investments in associates and joint ventures	13,31	18,865,011,000	-
Increase in short-term financial instruments		(3,700,000,000,000)	(3,506,815,468,600)
Increase in long-term financial instruments		(21,911)	(20,992)
Increase in financial assets at fair value through profit or loss		(5,812,418,674)	(4,882,079,526)
Acquisition of property, plant and equipment	14	(1,391,740,885,639)	(1,303,573,257,829)
Acquisition of intangible assets	15	(83,332,629,654)	(73,952,276,112)
Business combination	32,35	-	(601,956,250,000)
Acquisition of investments in associates and joint ventures	13,31	(2,041,875,000)	(10,984,875,000)
Increase in long-term loans		-	(1,226,784)
Net cash outflow from investing activities		(1,862,425,927,878)	(1,243,776,304,347)
Cash flows from financing activities			
Issuance of debentures	16,32	-	797,659,176,800
Proceeds from short-term borrowings	16,32	40,000,000,000	237,000,000,000
Proceeds from long-term borrowings	16,32	45,000,000,000	95,000,000,000
Redemption of debentures	16,32	-	(380,000,000,000)
Repayment of short-term borrowings	16,32	(130,000,000,000)	(684,500,000,000)
Repayment of current portion of long-term borrowings	16,32	(120,000,000,000)	(353,682,000,000)
Repayment of lease liabilities	19,32	(147,074,574,483)	(145,265,462,031)
Cash outflows arising from the spin-off	22,34	(216,417,374,705)	-
Acquisition of treasury shares	22,34	(92,012,513,657)	-
Net cash outflow from financing activities		(620,504,462,845)	(433,788,285,231)
Net decrease in cash and cash equivalents		(235,122,964,172)	(18,309,186,915)
Cash and cash equivalents at the beginning of the year		391,221,617,203	367,937,365,042
Effects of exchange rate changes on cash and cash equivalents		(7,247,386,511)	41,593,439,076
Cash and cash equivalents at the end of the year		₩ 148,851,266,520	₩ 391,221,617,203

The above consolidated statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

December 31, 2025 and 2024

1. General Information

Samsung Biologics Co., Ltd. (the "Company" or the "Parent Company") was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in biopharmaceutical manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, Republic of Korea. The Company was listed on the securities market on November 10, 2016. As at 31 December 2025, following a demerger in the form of a spin-off on 1 November 2025, the Parent company's capital stock amounts to ₩ 115,727 million.

The shareholders of the Company as of December 31, 2025, are as follows:

Shareholder	Number of shares (in shares)	Percentage of ownership (%)
Samsung C&T Corporation	19,932,350	43.06
Samsung Electronics Co., Ltd.	14,449,944	31.22
Others	11,908,657	25.72
	<u>46,290,951</u>	<u>100.00</u>

Samsung Biologics Co., Ltd. (the "Company", a controlling company in accordance with International Financial Reporting Standards as adopted by the Republic of Korea ("K-IFRS") No. 1110 '*Consolidated Financial Statements*') and subsidiaries (collectively referred to as the "Group") prepared the consolidated financial statements accounting for the investments in associates using the equity method.

On 22 May 2025, the Board of Directors resolved to establish a newly formed company through a spin-off, whose main business will be the management of subsidiaries including Samsung Bioepis Co., Ltd. and others, and new investments. Following the approval of the agenda at the shareholders' meeting on 17 October 2025, the company carried out a spin-off of the relevant business segment on November 1, 2025.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

December 31, 2025 and 2024

1.1 Consolidated Subsidiaries

Details of the consolidated subsidiaries as of December 31, 2025 and 2024 are as follows:

	Location	Percentage ownership (%)		Main business	Closing months
		2025	2024		
SAMSUNG BIOLOGICS AMERICA Inc.	USA	100.00	100.00	Other services	December
SAMSUNG BIOEPIS Co., Ltd.	Republic of Korea	-	100.00	Biopharmaceutical development and commercialization	December
SAMSUNG BIOEPIS UK LIMITED	UK	-	100.00	Other services	December
SAMSUNG BIOEPIS CH GMBH	Switzerland	-	100.00	Other services	December
SAMSUNG BIOEPIS AU PTY LTD	Australia	-	100.00	Other services	December
SAMSUNG BIOEPIS BR PHARMACEUTICAL LTDA	Brazil	-	100.00	Other services	December
SAMSUNG BIOEPIS NZ LIMITED	New Zealand	-	100.00	Other services	December
SAMSUNG BIOEPIS IL LTD	Israel	-	100.00	Other services	December
SAMSUNG BIOEPIS NL B.V.	Netherlands	-	100.00	Other services	December
SAMSUNG BIOEPIS TW Limited	Taiwan	-	100.00	Other services	December
SAMSUNG BIOEPIS PL Sp z o.o	Poland	-	100.00	Other services	December
SAMSUNG BIOEPIS HK Limited	Hong Kong	-	100.00	Other services	December
SAMSUNG BIOEPIS United States Inc.	USA	-	100.00	Other services	December
SVIC No.63 New Technology Business Investment L.L.P.	Republic of Korea	-	99.00	Investment association	December

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

December 31, 2025 and 2024

Summarized financial information for consolidated subsidiary as of and for the years ended December 31, 2025 and 2024 is as follows:

(in Korean won)

	2025						
	Assets	Liabilities	Equity	Sales	Profit for the year	Total comprehensive income	
Samsung Biologics America, Inc.	₩ 18,361,304,615	₩ 3,044,015,112	₩ 15,317,289,503	₩ 13,667,584,631	₩ 695,990,849	₩ 344,856,357	
SAMSUNG BIOEPIS Co., Ltd. ^{1,2}	-	-	-	1,419,693,194,628	359,749,764,347	357,061,495,663	

¹ Consolidated financial information of SAMSUNG BIOEPIS Co., Ltd., and its subsidiaries.

² The consolidated company carried out a spin-off of subsidiaries including Samsung Bioepis Co., Ltd. with 1 November 2025 as the effective date. The profit or loss financial information for the current period includes only ten months of profit or loss prior to the spin-off.

(in Korean won)

	2024						
	Assets	Liabilities	Equity	Sales	Profit (loss) for the year	Total comprehensive income	
Samsung Biologics America, Inc.	₩ 19,448,387,959	₩ 4,475,954,813	₩ 14,972,433,146	₩ 15,049,759,180	₩ (943,314,961)	₩ 947,154,371	
SAMSUNG BIOEPIS Co., Ltd. ¹	3,292,370,282,950	1,570,888,375,687	1,721,481,907,263	1,537,700,053,729	371,949,356,446	368,841,094,148	

¹ Consolidated financial information of SAMSUNG BIOEPIS Co., Ltd., and its subsidiaries.

1.2 Changes in Scope for Consolidation

Entities excluded from consolidation during the current period

	Reason
SAMSUNG BIOEPIS Co., Ltd.	Spin-off
SAMSUNG BIOEPIS UK LIMITED	Spin-off
SAMSUNG BIOEPIS CH GMBH	Spin-off
SAMSUNG BIOEPIS AU PTY LTD	Spin-off
SAMSUNG BIOEPIS BR PHARMACEUTICAL LTDA	Spin-off
SAMSUNG BIOEPIS NZ LIMITED	Spin-off
SAMSUNG BIOEPIS IL LTD	Spin-off
SAMSUNG BIOEPIS NL B.V.	Spin-off
SAMSUNG BIOEPIS TW Limited	Spin-off
SAMSUNG BIOEPIS PL Sp z o.o	Spin-off
SAMSUNG BIOEPIS HK Limited	Spin-off
SAMSUNG BIOEPIS United States Inc.	Spin-off
SVIC No.63 New Technology Business Investment L.L.P.	Spin-off

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2. Material Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation

The Group maintains its accounting records in Korean won and prepares statutory financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (K-IFRS). The accompanying consolidated financial statements have been restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Group's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The consolidated financial statements of the Group have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea. The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value, and
- Assets held for sale measured at fair value less costs to sell.

The preparation of financial statements requires the use of significant accounting estimates. Management also needs to exercise judgement in applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

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2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Group

The Group has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2025

Amendments to Korean IFRS 1021 The Effects of Changes in Foreign Exchange Rates– Lack of Exchangeability

The amendments add criteria for assessing the exchangeability between two currencies in order to clarify the requirements for translating a functional currency into a presentation currency. In addition, when a company judges that exchangeability is lacking, the amendments add requirements for estimating the spot exchange rate to be applied and require disclosure of related information.

These amendments to the Standard do not have a material effect on the financial statements.

2.2.2 New standards and interpretations not yet adopted by the Group

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2025 reporting periods and have not been early adopted by the Group.

(a) Amendments to K-IFRS No. 1109 'Financial Instruments' and K-IFRS No. 1107 'Financial Instruments: Disclosures'

The Group is reviewing the effect of these amendments on its consolidated financial statements. The amendments are effective for fiscal years beginning on or after 1 January 2026, with earlier application permitted. The main amendments are as follows:

- Permit an entity, when certain baseline are met, to deem a financial liability to have been settled (derecognized) via an electronic payment system before the settlement date.
- Clarify further guidance for assessing whether a financial asset meet criteria for consisting solely of payments of principal and interest.
- Require disclosures in the financial statement, for each class of financial instrument, of the effect on the entity and the exposure to which the entity is subject from contractual terms that change the timing or amount of contractual cash flows.
- Require additional disclosures for equity instruments measured at fair value through other comprehensive income.

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(b) Annual Improvements to K-IFRS Volume 11

Annual Improvements to K-IFRS Volume 11 are effective for fiscal years beginning on or after 1 January 2026, with earlier application permitted. The Group expects that the amendments will not have a material effect on its consolidated financial statements.

- K-IFRS No. 1101 'First-time Adoption of Korean International Financial Reporting Standards': application of hedge accounting on first-time adoption of K-IFRS.
- K-IFRS No. 1107 'Financial Instruments: Disclosures': gains or losses on derecognition, implementation guidance.
- K-IFRS No. 1109 'Financial Instruments': accounting for derecognition of lease liabilities and definition of transaction price.
- K-IFRS No. 1110 'Consolidated Financial Statements': determination of a de facto agent.
- K-IFRS No. 1007 'Statement of Cash Flows': cost method.

(c) Amendments to K-IFRS No. 1107 'Financial Instruments: Disclosures' and K-IFRS No. 1109 'Financial Instruments'

These standards are effective for fiscal years beginning on or after 1 January 2026, with earlier application permitted. The Group does not expect the amendments to have a material impact on the consolidated financial statements. The main amendments are as follows:

- Expansion of the application of hedge accounting to virtual power purchase agreements (Virtual PPAs)
- Introduction of disclosure requirements for nature-dependent power contracts that meet specified characteristics

(d) K-IFRS No. 1118 'Presentation and Disclosures in Financial Statements', promulgation

The Group is currently assessing the impact of this promulgation on the consolidated financial statements. This standard is effective for fiscal years beginning on or after 1 January 2027, with earlier application permitted. The main provisions are as follows:

- Presentation of specified categories and defined subtotals in the statement of profit or loss
- Provision of disclosures related to management-defined performance measures (MPMs) in the notes to the financial statements
- Improvements to aggregation and disaggregation

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2.3 Consolidation

The Group has prepared the consolidated financial statements in accordance with Korean IFRS 1110 *Consolidated Financial Statements*.

(a) Subsidiaries

Subsidiaries are all entities over which the Parent company has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group. The consideration transferred is measured at the fair values of the assets transferred, and identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognizes any non-controlling interest in the acquired entity that is provided a proportionate share in the case of liquidation on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets. All other non-controlling interests are measured at fair values, unless otherwise required by other standards. Acquisition-related costs are expensed as incurred.

The excess of consideration transferred, amount of any non-controlling interest in the acquired entity and acquisition-date fair value of any previous equity interest in the acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognized directly in the profit or loss as a bargain purchase.

Intercompany transactions, balances and unrealized gains on transactions between group companies are eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Parent Company. Any difference between the amount of the adjustment to non-controlling interest and any consideration paid or received is recognized in a separate reserve within equity attributable to owners of the Parent Company.

When the Group ceases to consolidate for a subsidiary because of a loss of control, any retained interest in the subsidiary is remeasured to its fair value with the change in carrying amount recognized in profit or loss.

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Meanwhile, although they are not combinations between businesses, the specific methodology of the book value method applied to spin-off transactions of the group that occurred in the current and prior periods, which satisfied the criteria for transactions under common control, is as follows:

- Spin-off

The cumulative amount of other comprehensive income related to the assets to be spun off is reclassified to an equity component upon the spin-off.

(b) Associates and joint ventures

Investments in associates and joint ventures are accounted for using the equity method of accounting, after initially being recognized at cost. Unrealized gains on transactions between the Group and its associates and joint ventures are eliminated to the extent of the Group's interest in the associates and joint ventures. If the Group's share of losses of an associate and joint venture equals or exceeds its interest in the associate and joint venture (including long-term interests that, in substance, form part of the Group's net investment in the associate and joint venture), the Group discontinues recognizing its share of further losses. After the Group's interest is reduced to zero, additional losses are provided for, and a liability is recognized, only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

If there is an objective evidence of impairment for the investment in the associate and joint venture, the Group recognizes the difference between the recoverable amount of the associate and joint venture and its book amount as impairment loss. If an associate and joint venture uses accounting policies other than those of the Group for like transactions and events in similar circumstances, if necessary, adjustments shall be made to make the accounting policies of the associate and joint venture conform to those of the Group when the financial statements of the associate and joint venture are used by the Group in applying the equity method.

2.4 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

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2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Group are measured using the currency of the primary economic environment in which each entity operates (the “functional currency”). The consolidated financial statements are presented in Korean won, which is the Group’s functional and presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions, or the exchange rates at the dates of valuation for items that are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognized in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities held at fair value through other comprehensive income are recognized in other comprehensive income.

If the functional currency of a foreign operation is not the currency of a hyperinflationary economy, the assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position. Income and expenses for each statement of comprehensive income presented are translated at exchange rates at the dates of the transactions. All resulting exchange differences are recognized in other comprehensive income.

2.6 Financial Assets

(a) Measure

Equity instruments

The Group subsequently measures all investments in equity instruments at fair value. For equity instruments held for long-term investment purposes or strategic investment purposes for which the Group has elected to present fair value changes in other comprehensive income, amounts recognized in other comprehensive income are not reclassified to profit or loss even when the related equity instruments are derecognized.

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(b) Impairment

The Group assesses expected credit losses on debt instruments measured at amortized cost or at fair value through other comprehensive income based on forward-looking information. The impairment approach is determined depending on whether there has been a significant increase in credit risk. However, for trade receivables, other receivables and contract assets, the Group applies the simplified approach and recognizes lifetime expected credit losses from the time the receivables are initially recognized (see Note 33).

(c) Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount is presented in the balance sheet when the Group currently has a legally enforceable right to offset the recognized assets and liabilities and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously. A legally enforceable right of offset is not contingent on a future event and is enforceable in the normal course of business, in the event of default, and in the event of insolvency or bankruptcy.

2.7 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components and are recognized at fair value. Trade receivables are subsequently measured at amortized cost using the effective interest method, deducting allowance for credit losses.

2.8 Inventories

Inventories are presented at the lower of cost and net realizable value, and the cost of inventories is determined using the specific identification method and the moving-average method. The cost of inventories includes costs of purchase, costs of conversion and other costs necessary to bring the inventories to a state in which they are available for use, and fixed production overheads included in the cost of finished goods and work in progress are allocated based on allocation criteria for each production process.

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2.9 Property, Plant and Equipment

Historical cost includes expenditures that are directly attributable to the acquisition of an asset. Subsequent costs are included in the carrying amount of the asset, or, where appropriate, recognized as a separate asset, only when it is probable that future economic benefits arising from the asset will flow to the group and the costs can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are recognized as expenses in the period in which they are incurred. Except for land, assets are depreciated on a straight-line basis over the following estimated economic useful lives, after deducting residual value from acquisition cost.

	Useful lives
Buildings and Structures	40 years
Machinery	5~15 years
Vehicles	4 years
Others	4 years

2.10 Government Grants

Government grants are recognized at fair value when there is reasonable assurance regarding receipt of the grant and compliance with the conditions attached to the government grant. Grants related to assets are presented by deducting them in calculating the carrying amount of the asset, and grants related to income are deferred and presented as a deduction from the expenses related to the purpose for which the government grant is awarded. In connection with the use of certain land, the Group is fully exempt from rent by satisfying the rent reduction requirements under the Incheon Metropolitan City public property management ordinance in the process of entering into a lease contract with Incheon Metropolitan City. The Group recognizes the fair value of the rent exempted by Incheon Metropolitan City as an intangible asset, and recognizes the same amount as a deduction from the asset under the account of government grants.

2.11 Intangible Assets

Intangible assets acquired in a business combination are amortized on a straight-line basis over the useful lives set out below from the acquisition date, and other intangible assets are amortized on a straight-line basis over the useful lives set out below from the date they are available for use, assuming a residual value of zero. However, as the period during which certain intangible assets are expected to be available for use is not subject to predictability, the useful lives of such intangible assets are assessed as being indefinite and they are not amortized.

	Useful lives
Development costs	5 ~ 12 years
Software	5 years
Other intangible assets	5 years
Land use rights	50 years
Trademarks and patent rights	10 years
Memberships	indefinite

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Subsequent expenditures

The judgement made by the Group's management regarding the recognition of intangible assets is as follows:

A biosimilar product development process starts with extracting proteins after developing a cell line and then formulating them into a pharmaceutical product; once it passes the equivalence test against the originator drug, clinical procedures are initiated, and based on a comprehensive assessment of the resulting clinical outcomes and commercial-scale manufacturing capability, final approval for sale is obtained.

The Group determined that the intangible assets are individually identifiable and technically feasible at the time of approval for the application of the first clinical trial, when the regulatory body has confirmed the similarity verification data with the original biologic medicine. In addition, only expenses directly related to clinical trials should be capitalized as development expenses, and other expenses are recognized as expenses. Other expenses incurred in relation to the development of Biobetter and new medicines are recognized as expenses for the current period as they do not meet the requirements for capitalization.

2.12 Trade and Other Payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of reporting period which are unpaid. Trade and other payables are presented as current liabilities, unless payment is not due within 12 months after the reporting period. They are recognized initially at their fair value and subsequently measured at amortized cost using the effective interest method.

2.13 Financial Liabilities

Classification and measurement

The Group's financial liabilities at fair value through profit or loss are financial instruments held for trading. A financial liability is held for trading if it is incurred principally for the purpose of repurchasing in the near term. A derivative that is not designated as a hedging instrument and an embedded derivative that is separated are also classified as held for trading.

The Group classifies non-derivative financial liabilities, except for financial liabilities at fair value through profit or loss, financial guarantee contracts and financial liabilities that arise when a transfer of financial assets does not qualify for derecognition, as financial liabilities carried at amortized cost and present as 'trade and other payables' and 'debentures and borrowings' in the statement of financial position.

Borrowings are initially recognized at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortized cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognized in profit or loss over the period of the borrowings using the effective interest method.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

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Covenants that the Group is required to comply with, on or before the end of the reporting period, are considered in classifying loan arrangements with covenants as current or non-current. Covenants that the Group is required to comply with after the reporting period do not affect the classification at the reporting date.

2.14 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the best estimate of expenditure required to settle the obligation at the end of the reporting period for the gas emissions in excess of the emission permits. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.15 Revenue Recognition

(a) Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Group manufactures and supplies made-to-order biomedicine. Services mandatorily rendered prior to a production of biomedicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of biomedicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

The Group provides cell line and upstream/downstream process development services. The Group recognizes cell line and upstream/downstream process development services as distinct performance obligations.

- Development and commercialization of biosimilar products

The Group recognizes the development of biosimilar products and the sale of commercialized products to the end customers as performance obligations.

(b) Satisfaction of performance obligations

- CMO business

Goods manufactured by the Group do not have an alternative use to the Group, and it has an enforceable right to payment for performance completed to date. This is because that the Group produces biomedicine at a quality that a customer requires and is entitled to reimbursement of the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Group recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

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Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

- CDO business

Revenue is recognized over time during the research period of each service as a customer simultaneously receives and consumes the benefits provided by the Group as the Group performs research and development services.

- Development of biosimilar products and sales of biosimilar commercialized products

The Group's revenue is generated from commissions related to the development of biosimilar products and external sales of commercialized products. The Group recognizes revenue by identifying performance obligations from product development and manufacturing in the contract. The timing of revenue recognition by the Group varies depending on whether each performance obligation is satisfied at a point in time or over time. The Group's revenue is recognized depending on whether a performance obligation is satisfied at a point in time or over time.

Among contracts that covering the development and commercialization of biosimilar products, the Group reviewed whether the definition of customer mentioned in the contracts align with the meaning of customer referred in paragraph 6 of Korean IFRS 1115.

Contracts in which the counterparties meet the definition of a customer, revenue is measured based on the consideration promised in the contract with the customer, and the Group recognizes revenue when control of the goods or services is transferred to the customer.

Contracts in which the counterparties do not meet the definition of a customer are not subject to Korean IFRS 1115, and there is no provision in Korean IFRS that specifically stipulates a series of transactions pursuant to such a collaboration agreement. The Group developed and applied accounting policies in accordance with paragraphs 10 to 12 of Korean IFRS 1008. As a result, the Group recognizes revenue from the transfer of control of license and revenue from the sale of commercialized products separately as follows:

- *Revenue recognition timing for fees related to the development of biosimilar products:*

The Group recognizes considerations received from customers through the development of biosimilar products (including Upfront and Milestone fees) as revenue when control of the intellectual property rights acquired through the research and development are transferred to the customers (e.g., when regulatory approval is obtained).

- *Transactions with counterparties that do not meet the definition of a customer:*

In accordance with contractual agreements, the Group participates in the production and sale of products with partners to generate revenue. The total profit or loss generated from these products and within specific regions over a certain period is settled according to an agreed-upon ratio. The profit and loss settlement between the Group and its partners includes all sales, cost of sales, and marketing expenses incurred during the revenue-generating process from product production to sales to end customers.

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The Group has reviewed whether the partner in this transaction meets the definition of a customer as prescribed in paragraph 6 of Standard No. 1115. It has been determined that the partner does not meet the definition of a customer because it does not acquire the output of the company's ordinary activities. Instead, the partner participates with the Group in the production and sale of products to generate revenue and shares in the risks and benefits arising from those activities.

- *Transactions with counterparties that meet the definition of a customer:*

The Group recognizes revenue at the point in time when a commercialized product is sold to the customer and control of the goods is transferred to the customer.

(c) Costs to fulfil a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future, and the costs are expected to be recovered, the costs are recognized as assets. And the costs to fulfil a contract are recognized as cost of revenue based on the percentage of completion.

(d) Contract assets and contract liabilities

- CMO business

The Group recognizes the amount of the advance consideration by customers related to the transfer of technology or engineering batch production as contract liabilities and related costs as costs to fulfil a contract. Such activities are required in advance for the production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

- Development of biosimilar products and sales of commercialized products

The Group recognizes unbilled amounts for R&D services for which performance obligations have been completed as contract assets. Commissions received from customers through the development of biosimilar products (including Upfront and Milestone fees) are recognized as contract liabilities.

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(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Group estimates the amount of consideration to which the Group will be entitled to in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

2.16 Leases

(a) Lessor

Lease income from operating leases where the Group is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) Lessee

The Group leases various offices, equipment and vehicles. Lease contracts are typically made for a fixed periods of 2 to 3 years, but may have extension options. Contracts may contain both lease and non-lease components. However, for leases of real estate for which the Group is lessee, the Group applies the practical expedient which has elected not to separate lease and non-lease components and instead accounts for these as a single lease component. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Some of lease contracts of the group include extension and termination options. These terms are used to maximize operational flexibility in terms of contract management. Most of the extension and termination options can be exercised by the group and not by the relevant lessor.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Group elected not to apply that revaluation model to buildings held by the Group that are presented in the right-of-use assets.

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Short-term leases are leases with a lease term of 12 months or less. Low-value assets are comprised of IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

2.17 Approval of Issuance of the Financial Statements

The consolidated financial statements 2025 were approved for issue by the Board of Directors on January 21, 2026 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Significant Accounting Estimates and Assumptions

The preparation of consolidated financial statements requires the Group to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Group's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it may contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in the relevant notes.

(a) Development costs

The Group uses management's best judgment, such as expected future cash flow and discount rate when reviewing capitalization requirements and useful lives of development costs. In addition, impairment tests for development costs are performed at the end of each reporting period, and there is uncertainty in estimating the recoverable amount including recoverability.

(b) Income taxes

The Group's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 28).

If certain portion of the taxable income is not used for investments or increase in wages, etc., the Group is liable to pay additional income tax calculated based on the tax laws. Accordingly, the measurement of current and deferred income tax is affected by the tax effects accordingly. As the Group's income tax is dependent on the investments, increase in wages, etc., there is an uncertainty in measuring the final tax effects.

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(c) Impairment of costs to fulfill a contract

The Group reviews whether there are any impairment indicators of costs to fulfil a contract at the end of each reporting period. The Group recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfil a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Net defined benefit liability (asset)

The present value of net defined benefit liability (asset) depends on a number of factors that are determined on an actuarial basis using a number of assumptions including the discount rate (Note 21).

(e) Impairment of goodwill

The Group tests whether goodwill has suffered any impairment by the recoverable amount of a cash generating unit (CGU) which is determined based on fair value method.

4. Operating Segments

The group discloses segment-related information in the consolidated financial statements in accordance with K-IFRS No. 1108, and the group's operating segment is a single CDMO (Contract Development and Manufacturing Organization) segment. Management responsible for the group's strategic decision-making determines the group's operating segment.

Segment information by operating segment for the current and prior periods has been prepared after allocation of the internal transaction adjustments to operating profit.

Information on profit for each segment for the years ended December 31, 2025 and 2024 is as follows:

<i>(in Korean won)</i>		2025		2024
Total sales	₩	4,570,639,279,811	₩	3,512,195,434,962
Intercompany sales		(13,667,584,631)		(15,049,759,180)
Net sales		4,556,971,695,180		3,497,145,675,782
Depreciations		(344,186,763,860)		(277,373,372,234)
Amortization of intangible assets		(15,538,810,945)		(12,947,652,434)
Operating profit		2,069,221,266,630		1,321,366,380,588

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Information on segment assets and liabilities for each segment as of December 31, 2025 and 2024 is as follows:

(in Korean won)

		2025	
		CDMO	Biopharmaceutical development and commercialization ²
			Total
Reportable segment asset	₩	11,060,741,976,837	₩ - 11,060,741,976,837
Investments in associates		78,098,117,569	- 78,098,117,569
Reportable segment Liability		3,609,631,328,852	- 3,609,631,328,852
Additions to non-current assets ¹		983,297,436,633	- 983,297,436,633

¹ The amount excludes financial instruments, and investment in associates and joint ventures.

² The consolidated company carried out a spin-off in the form of a demerger of its subsidiaries, including Samsung Bioepis Co., Ltd., with November 1, 2025 as the effective date.

(in Korean won)

		2024	
		CDMO	Biopharmaceutical development and commercialization ²
			Total
Reportable segment asset	₩	10,267,790,929,968	₩ 7,068,505,419,543 17,336,296,349,511
Investments in associates		52,501,095,426	- 52,501,095,426
Reportable segment Liability		4,440,987,358,723	1,990,632,928,770 6,431,620,287,493
Additions to non-current assets ¹		1,890,625,655,743	126,714,996,751 2,017,340,652,494

¹ The amount excludes financial instruments, and investment in associates and joint ventures.

² The consolidated company carried out a spin-off in the form of a demerger of its subsidiaries, including Samsung Bioepis Co., Ltd., with November 1, 2025 as the effective date.

Details of customers, who contribute over 10% of the Group's total revenue for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025	2024
Client A	₩ 969,660,442,839	₩ 306,012,091,890
Client B	493,757,336,968	86,130,744,391
Client C	478,468,863,363	358,915,729,494
Client D	277,382,226,790	487,523,553,090
Client E	166,979,764,908	410,144,688,023

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Revenue by regions for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025	2024
Domestic	₩ 371,876,479,018	₩ 558,086,309,485
Europe	2,367,746,716,504	2,035,771,049,122
USA	1,733,921,542,433	822,631,938,995
Other	83,426,957,225	80,656,378,180
	<u>₩ 4,556,971,695,180</u>	<u>₩ 3,497,145,675,782</u>

The amount of non-current assets by region as of December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025	2024
Domestic ¹	₩ 6,406,271,022,280	₩ 11,690,923,200,205
Overseas ¹	1,019,572,500	3,086,124,791
	<u>₩ 6,407,290,594,780</u>	<u>₩ 11,694,009,324,996</u>

¹ The amount excludes financial instruments, and investment in associates and joint ventures and others.

5. Financial Instruments

(a) Financial assets

Categories of financial assets as of December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025		
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 148,851,266,520	₩ 148,851,266,520
Short-term financial instruments	-	1,307,174,500,000	1,307,174,500,000
Trade and other receivables ¹	-	667,411,901,892	667,411,901,892
Deposits provided	-	29,057,433,784	29,057,433,784
	-	<u>2,152,495,102,196</u>	<u>2,152,495,102,196</u>
Non-current assets			
Long-term financial instruments	-	226,947,395	226,947,395
Financial assets at fair value through profit or loss	-	-	-
Trade and other receivables	-	-	-
Loan	-	30,563,370	30,563,370
Deposits provided	-	10,596,804,423	10,596,804,423
	-	<u>10,854,315,188</u>	<u>10,854,315,188</u>
	<u>₩ -</u>	<u>₩ 2,163,349,417,384</u>	<u>₩ 2,163,349,417,384</u>

¹ The amounts exclude the tax-related receivables and receivables due from employees.

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(in Korean won)

	2024		
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 391,221,617,203	₩ 391,221,617,203
Short-term financial instruments	-	907,350,000,000	907,350,000,000
Trade and other receivables ¹	-	1,074,364,663,233	1,074,364,663,233
Deposits provided	-	32,717,174,901	32,717,174,901
	-	2,405,653,455,337	2,405,653,455,337
Non-current assets			
Long-term financial instruments	-	385,357,612	385,357,612
Financial assets at fair value through profit or loss	6,718,968,273	-	6,718,968,273
Trade and other receivables	-	23,887,946,322	23,887,946,322
Loan	-	31,311,000	31,311,000
Deposits provided	-	29,259,715,010	29,259,715,010
	6,718,968,273	53,564,329,944	60,283,298,217
	₩ 6,718,968,273	₩ 2,459,217,785,281	₩ 2,465,936,753,554

¹ The amounts exclude the tax-related receivables and receivables due from employees.

(b) Financial liabilities

Categories of financial liabilities as of December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025			
	Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩ -	₩ 271,638,078,349	₩ -	₩ 271,638,078,349
Debentures	-	319,712,704,765	-	319,712,704,765
Short-term borrowings	-	-	-	-
Current portion of long-term borrowings	-	-	-	-
Lease liabilities	-	-	7,257,974,993	7,257,974,993
	-	591,350,783,114	7,257,974,993	598,608,758,107
Non-current liabilities				
Trade and other payables ¹	-	-	-	-
Debentures	-	599,011,716,516	-	599,011,716,516
Long-term borrowings	-	-	-	-
Derivative liabilities	-	-	-	-
Lease liabilities	-	-	1,112,062,611	1,112,062,611
	-	599,011,716,516	1,112,062,611	600,123,779,127
	₩ -	₩ 1,190,362,499,630	₩ 8,370,037,604	₩ 1,198,732,537,234

¹ The amounts exclude the tax-related payables and accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(in Korean won)

		2024			
		Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities					
Trade and other payables ¹	₩	-	₩ 1,270,884,788,474	₩ -	₩ 1,270,884,788,474
Short-term borrowings		-	207,000,000,000	-	207,000,000,000
Current portion of long-term borrowings		-	120,000,000,000	-	120,000,000,000
Lease liabilities		-	-	138,594,047,222	138,594,047,222
		-	1,597,884,788,474	138,594,047,222	1,736,478,835,696
Non-current liabilities					
Trade and other payables ¹		-	2,906,368,948	-	2,906,368,948
Debentures		-	917,756,707,992	-	917,756,707,992
Long-term borrowings		-	95,000,000,000	-	95,000,000,000
Derivative liabilities	5,134,918,626	-	-	-	5,134,918,626
Lease liabilities		-	-	7,888,720,135	7,888,720,135
		5,134,918,626	1,015,663,076,940	7,888,720,135	1,028,686,715,701
	₩	5,134,918,626	₩ 2,613,547,865,414	₩ 146,482,767,357	₩ 2,765,165,551,397

¹ The amounts exclude the tax-related payables and accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(c) The fair values of financial instruments

The fair values of financial instruments, together with the carrying amounts shown in the statements of financial position as of December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025		2024	
	Carrying amount ¹	Fair value	Carrying amount ¹	Fair value
Assets measured at fair value				
Financial assets at fair value through profit or loss	₩ -	₩ -	₩ 6,718,968,273	₩ 6,718,968,273
Assets measured at amortized cost				
Cash and cash equivalents	148,851,266,520	148,851,266,520	391,221,617,203	391,221,617,203
Short-term financial instruments	1,307,174,500,000	1,307,174,500,000	907,350,000,000	907,350,000,000
Long-term financial instruments	226,947,395	226,947,395	385,357,612	385,357,612
Trade and other receivables	667,411,901,892	667,411,901,892	1,098,252,609,555	1,098,252,609,555
Loan	30,563,370	30,563,370	31,311,000	31,311,000
Deposits provided	39,654,238,207	39,654,238,207	61,976,889,911	61,976,889,911
	2,163,349,417,384	2,163,349,417,384	2,459,217,785,281	2,459,217,785,281
	₩ 2,163,349,417,384	₩ 2,163,349,417,384	₩ 2,465,936,753,554	₩ 2,465,936,753,554
Liabilities carried at fair value				
Derivative liabilities	₩ -	₩ -	₩ 5,134,918,626	₩ 5,134,918,626
Liabilities carried at amortized cost				
Trade and other payables	271,638,078,349	271,638,078,349	1,273,791,157,422	1,273,791,157,422
Debentures	918,724,421,281	918,724,421,281	917,756,707,992	917,756,707,992
Borrowings	-	-	422,000,000,000	422,000,000,000
	1,190,362,499,630	1,190,362,499,630	2,613,547,865,414	2,613,547,865,414
	₩ 1,190,362,499,630	₩ 1,190,362,499,630	₩ 2,618,682,784,040	₩ 2,618,682,784,040

¹ The Group used the carrying amount as a proxy for fair value because it is a reasonable approximation of fair value.

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(d) *Fair value hierarchy*

The following presents financial instruments measured and recognized at fair value as of December 31, 2025 and 2024:

(in Korean won)		2025			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩	-	₩
Financial liabilities					
Derivative liabilities		-	-	-	-
(in Korean won)		2024			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 1,151,653,488	₩ 5,567,314,785	₩ 6,718,968,273
Financial liabilities					
Derivative liabilities		-	-	5,134,918,626	5,134,918,626

(e) *Valuation techniques and inputs*

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 2 and level 3 as of December 31, 2025 and 2024 are as follows:

(in Korean won)		Fair value		Level	Valuation techniques	inputs
		2025	2024			
Financial assets at fair value through profit or loss	₩	-	₩ 1,151,653,488	2	Market approach	Third party transaction price
Financial assets at fair value through profit or loss ¹		-	5,567,314,785	3	-	-
Derivative liabilities (contingent considerations in the stock purchase)		-	5,134,918,626	3	Option model	Discount rate and others

¹ The Group measures certain non-listed shares among financial assets at fair value at cost, of which the fair value cannot be measured reliably, and believes that these amortized cost or acquisition cost is similar to fair value.

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(f) Valuation Processes for Fair Value Measurements Categorized as Level 3

The finance department of each division of the Group is responsible for the fair value measurements required for financial reporting purposes, including level 3 fair values. The department responsible for fair value measurements periodically reports on the valuation process and its results in line with the reporting schedule at the end of each reporting period.

(g) Net gains or losses by category of financial instruments

Net gains or losses on each category of financial instruments for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025			
	Interest income (expenses)	Gain (loss) on valuation	Other income (expenses)¹	Net income (loss)
Financial assets at amortized cost	₩ 46,033,670,092	₩ -	₩ (2,983,763,919)	₩ 43,049,906,173
Derivative assets	-	-	-	-
Financial liabilities at amortized cost	(27,374,057,529)	-	(3,651,493,257)	(31,025,550,786)
Other liabilities	(1,797,223,399)	-	-	(1,797,223,399)
	<u>₩ 16,862,389,164</u>	<u>₩ -</u>	<u>₩ (6,635,257,176)</u>	<u>₩ 10,227,131,988</u>

¹ Other gains and losses include foreign currency translation gains and losses, foreign exchange gains and losses, and bad debt expenses on receivables.

(in Korean won)

	2024			
	Interest income (expenses)	Gain (loss) on valuation	Other income (expenses)¹	Net income (loss)
Financial assets at amortized cost	₩ 54,404,315,038	₩ -	₩ (20,279,755,594)	₩ 34,124,559,444
Derivative assets	-	1,086,047,835	(459,701,862)	626,345,973
Financial liabilities at amortized cost	(31,677,527,625)	-	68,491,696,202	36,814,168,577
Other liabilities	(2,445,647,886)	-	-	(2,445,647,886)
	<u>₩ 20,281,139,527</u>	<u>₩ 1,086,047,835</u>	<u>₩ 47,752,238,746</u>	<u>₩ 69,119,426,108</u>

¹ Other gains and losses include foreign currency translation gains and losses, foreign exchange gains and losses, and bad debt expenses on receivables.

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6. Cash and Cash Equivalents

Cash and cash equivalents as of December 31, 2025 and 2024 are as follows:

(in Korean won)		2025		2024
Cash equivalents	₩	148,851,266,520	₩	391,221,617,203

7. Restricted Financial Instruments

Restriction of financial instruments as of December 31, 2025 and 2024 are as follows:

(in Korean won)		2025		2024	Note
Long-term financial instruments	₩	6,000,000	₩	12,000,000	Deposits on checking accounts
		220,947,395		373,357,612	Establishment of a pledge right
	₩	226,947,395	₩	385,357,612	

8. Trade and Other Receivables

Details of trade and other receivables as of December 30, 2025 and 2024 are as follows:

(in Korean won)			2025		
		Gross amount	Bad debt allowances ²		Net amount
Trade receivables	₩	691,122,451,268	₩	(36,394,223,818)	₩ 654,728,227,450
Other receivables		10,122,576,979		(338,842,608)	9,783,734,371
Accrued income		11,954,957,155		-	11,954,957,155
Total ¹	₩	713,199,985,402	₩	(36,733,066,426)	₩ 676,466,918,976

(in Korean won)			2024		
		Gross amount	Bad debt allowances ²		Net amount
Trade receivables	₩	1,106,434,765,062	₩	(36,461,519,034)	₩ 1,069,973,246,028
Other receivables		111,202,630,888		(692,058,437)	110,510,572,451
Accrued income		8,832,261,348		-	8,832,261,348
Total ¹	₩	1,226,469,657,298	₩	(37,153,577,471)	₩ 1,189,316,079,827

¹ Trade and other receivables for related parties as of December 31, 2025 and 2024 are ₩ 30,399 million and ₩ 3,379 million, respectively (Note 31).

² The Group recognized bad debt allowances by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 33).

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9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2025 and 2024 are as follows:

(in Korean won)	2025				
	Beginning balance	Increase	Decrease	Spin-off ²	Ending balance
Contract assets					
- costs to fulfil a contract	₩ 306,960,313,251	₩ 42,244,520,475	₩ (20,570,939,601)	₩ 61,579,143,530	₩ 390,213,037,655
Contract assets					
- unbilled ¹	60,360,464,225	33,146,603,061	(67,635,175,842)	(4,485,563,484)	21,386,327,960
Contract liabilities	576,853,212,107	256,028,431,068	(173,706,295,908)	(119,738,195,770)	539,437,151,497

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

² The consolidated entities completed a spin-off of its subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

Revenue recognized from continuing operations in the current period that was included in the beginning balance of contract liabilities was ₩ 94,010 million.

(in Korean won)	2024				
	Beginning balance	Increase	Decrease	Spin-off ¹	Ending balance
Contract assets					
- costs to fulfil a contract	₩ 282,957,591,652	₩ 86,987,018,289	₩ (62,984,296,690)	-	₩ 306,960,313,251
Contract assets					
- unbilled ¹	24,791,698,034	61,896,794,655	(26,328,028,464)	-	60,360,464,225
Contract liabilities	502,568,138,620	376,929,597,211	(302,644,523,724)	-	576,853,212,107

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

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Costs incurred in fulfilling a contract include costs for technology transfer and production of trial batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not consist of a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Group's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Group recognizes the amounts received in advance from customers as contract liabilities as it satisfies its performance obligations over time.

The amount of impairment loss on contract costs recognized in profit or loss from continuing operations during the current year was ₩ 10,697 million, compared to ₩ 885 million recognized in the prior year.

Besides the above contract liabilities recognized, the Group classifies the amount received prior to transferring goods or services to the customer as 'advance receipts'. Changes in advance receipts for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025				
	Beginning balance	Increase	Decrease	Spin-off ¹	Ending balance
Advance receipts	₩ 1,048,552,665,805	₩ 1,527,302,433,489	₩ (1,342,346,252,790)	₩ 31,978,417,708	₩ 1,265,487,264,212

¹The consolidated entities completed a spin-off of its subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

Revenue recognized from continuing operations in the current period that was included in the beginning balance of advance receipts was ₩ 382,513 million.

(in Korean won)

	2024				
	Beginning balance	Increase	Decrease	Spin-off	Ending balance
Advance receipts	₩ 752,420,126,325	₩ 994,723,307,966	₩ (698,590,768,486)	-	₩ 1,048,552,665,805

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10. Inventories

Details of inventories as of December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 730,367,526,210	₩ (5,576,748,170)	₩ 724,790,778,040
Work-in-process	513,638,360,394	(5,778,381,504)	507,859,978,890
Raw materials	765,337,196,132	(30,180,259,695)	735,156,936,437
Supplies	198,929,649,771	(39,575,587,014)	159,354,062,757
Goods in transit	1,002,406,598	-	1,002,406,598
	<u>₩ 2,209,275,139,105</u>	<u>₩ (81,110,976,383)</u>	<u>₩ 2,128,164,162,722</u>

(in Korean won)

	2024		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 697,191,681,632	₩ (1,963,390,002)	₩ 695,228,291,630
Work-in-process	1,080,989,625,039	(4,352,565,528)	1,076,637,059,511
Raw materials	815,745,726,380	(11,595,640,440)	804,150,085,940
Supplies	268,743,284,609	(43,913,904,110)	224,829,380,499
Goods in transit	17,430,956,795	-	17,430,956,795
	<u>₩ 2,880,101,274,455</u>	<u>₩ (61,825,500,080)</u>	<u>₩ 2,818,275,774,375</u>

For the year ended December 31, 2025, the Group recognized ₩ 1,854,068 million (2024: ₩ 1,640,618 million) of inventories as an expense, and the amount includes inventory write-downs recognized for the year ended December 31, 2025, amounting to ₩ 19,800 million (2024: ₩ 56,337 million).

11. Other Financial Assets

Details of other financial assets as of December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025		2024	
	Current	Non-current	Current	Non-current
Deposits provided	₩ 29,057,433,784	₩ 10,596,804,423	₩ 32,717,174,901	₩ 29,259,715,010
Loan	-	30,563,370	-	31,311,000
	<u>₩ 29,057,433,784</u>	<u>₩ 10,627,367,793</u>	<u>₩ 32,717,174,901</u>	<u>₩ 29,291,026,010</u>

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12. Other Assets

Details of other assets as of December 31, 2025 and 2024 are as follows:

(in Korean won)	2025		2024	
	Current	Non-current	Current	Non-current
Advance payments	₩ 676,466,178	₩ -	₩ 93,569,444,246	₩ -
Prepaid expenses	14,348,556,191	1,593,198,884	28,251,324,305	5,208,013,037
	<u>₩ 15,025,022,369</u>	<u>₩ 1,593,198,884</u>	<u>₩ 121,820,768,551</u>	<u>₩ 5,208,013,037</u>

13. Investments in Associate and Joint Ventures

Investments in associates and joint ventures as of December 31, 2025 and 2024 are as follows:

(in Korean won)				2025		2024	
				Book amount	Percentage of ownership ¹	Book amount	Percentage of ownership
Major business location	Primary business	Fiscal date					
SVIC No.54 New Technology Business Investment L.L.P.	Equity investment in the bio industry start-ups	December 31, 2025	₩ 74,893,935,646	33.00%	₩ 50,551,281,256	33.00%	
SVIC No.64 New Technology Business Investment L.L.P.	Equity investment in the bio industry start-ups	December 31, 2025	3,204,181,923	24.75%	1,949,814,170	29.70%	
			<u>₩ 78,098,117,569</u>		<u>₩ 52,501,095,426</u>		

¹ As of November 1, 2025, the Group effectuated a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd.

Samsung Biologics Co., Ltd. and Subsidiaries

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Changes in investments in associates and joint ventures for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

(in Korean won)

		2025					
		Beginning balance	Acquisition	Share of profit (loss) ¹	Spin-Off ²	Disposal ³	Ending balance
SVIC No.54	New Technology Business Investment L.L.P.	₩ 50,551,281,256	₩ -	₩ 43,207,665,390	₩ -	₩ (18,865,011,000)	₩ 74,893,935,646
SVIC No.64	New Technology Business Investment L.L.P.	1,949,814,170	2,041,875,000	(136,875,538)	(650,631,709)	-	3,204,181,923
		₩ 52,501,095,426	₩ 2,041,875,000	₩ 43,070,789,852	₩ (650,631,709)	₩ (18,865,011,000)	₩ 78,098,117,569

¹ The share of profit or loss of SVIC No. 64 New Technology Business Investment L.L.P. includes ten months of profit or loss of Samsung Bioepis Co., Ltd.

² As of November 1, 2025, the Group effectuated a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd.

³ In April and August 2025, the Group partially recovered its investment in SVIC No.54 New Technology Business Investment L.L.P., and deducted the amount from the carrying value of investment securities.

(in Korean won)

		2024					
		Beginning balance	Acquisition	Share of profit (loss) ²	Spin-Off	Disposal	Ending balance
SVIC No.54							
New Technology Business Investment L.L.P. ¹	₩	38,658,461,546	₩ 9,240,000,000	₩ 2,652,819,710	₩ -	₩ -	₩ 50,551,281,256
SVIC No.64							
New Technology Business Investment L.L.P		197,950,053	1,744,875,000	6,989,117	-	-	1,949,814,170
	₩	38,856,411,599	₩ 10,984,875,000	₩ 2,659,808,827	₩ -	₩ -	₩ 52,501,095,426

¹ On August 13, 2024, the Group made an additional contribution of ₩ 9,240 million to SVIC No.54 New Technology Business Investment L.L.P., thereby completing the full contribution of ₩ 49,500 million originally committed at the time of its establishment.

² The share of profit or loss of SVIC No. 64 New Technology Business Investment L.L.P. includes the profit or loss of Samsung Bioepis Co., Ltd., which was spun off on November 1, 2025.

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Financial information of investees as of December 31, 2025 and 2024 and for the years ended December 31, 2025 and 2024 is summarized as follows:

(in Korean won)		2025							
		Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities	
SVIC No.54 New Technology Business Investment L.L.P.	₩	31,488,112,119	₩ 195,721,645,073	₩ 258,437,056	₩	- ₩ 31,477,669,780	₩ 258,437,056	₩	-
SVIC No.64 New Technology Business Investment L.L.P.		133,583,292	12,904,445,992	91,839,692		- 133,504,291	91,839,692		-
(in Korean won)		2025							
		Revenue	Income(Loss) for the year	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	income tax expense
SVIC No.54 New Technology Business Investment L.L.P.	₩	137,609,685,644	₩ 130,932,319,361	₩ 130,932,319,361	₩	- ₩	- ₩	- ₩	-
SVIC No.64 New Technology Business Investment L.L.P.		5,421,553	(493,841,286)	(493,841,286)		-	-	-	-
(in Korean won)		2024							
		Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities	
SVIC No.54 New Technology Business Investment L.L.P.	₩	64,814,912,048	₩ 89,324,653,489	₩ 953,864,762	₩	- ₩ 64,630,570,564	₩ 947,220,892	₩	-
SVIC No.64 New Technology Business Investment L.L.P.		410,376,630	6,247,500,000	92,845,752		- 410,092,375	92,845,752		-
(in Korean won)		2024							
		Revenue	Income(Loss) for the year	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	income tax expense
SVIC No.54 New Technology Business Investment L.L.P.	₩	11,905,623,960	₩ 8,038,847,608	₩ 8,038,847,608	₩	- ₩	- ₩	- ₩	-
SVIC No.64 New Technology Business Investment L.L.P.		439,452,227	23,532,383	23,532,383		-	-	-	-

Samsung Biologics Co., Ltd. and Subsidiaries

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Reconciliation of the investees' financial information to the carrying value of the Company's interest in associates and joint ventures as of December 31, 2025 and 2024 is as follows:

		2025						
		Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others	Book amount
SVIC No.54 New Technology Business Investment L.L.P.	₩	226,951,320,136	33.00%	₩ 74,893,935,646	₩	- ₩	- ₩	- ₩ 74,893,935,646
SVIC No.64 New Technology Business Investment L.L.P.		12,946,189,592	24.75%	3,204,181,923		-	-	- 3,204,181,923

		2024						
		Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others	Book amount
SVIC No.54 New Technology Business Investment L.L.P.	₩	153,185,700,775	33.00%	₩ 50,551,281,256	₩	- ₩	- ₩	- ₩ 50,551,281,256
SVIC No.64 New Technology Business Investment L.L.P.		6,565,030,878	29.70%	1,949,814,170		-	-	- 1,949,814,170

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14. Property, Plant and Equipment

Property, plant, and equipment as of December 31, 2025 and 2024 consist of:

(in Korean won)

	2025				
	Acquisition cost	Accumulated depreciation	Accumulated impairment loss	Government grants	Carrying amount
Land	₩ 461,974,307,935	₩ -	₩ -	₩ -	₩ 461,974,307,935
Buildings	3,325,606,067,554	(290,478,142,494)	-	-	3,035,127,925,060
Structures	12,289,343,670	(2,829,563,323)	-	-	9,459,780,347
Machinery	3,260,480,083,369	(1,229,583,550,958)	-	-	2,030,896,532,411
Vehicles	1,696,844,668	(1,432,460,364)	-	-	264,384,304
Others	162,876,222,480	(102,108,677,083)	-	-	60,767,545,397
Construction-in-progress	430,160,651,929	-	-	-	430,160,651,929
	₩ 7,655,083,521,605	₩ (1,626,432,394,222)	₩ -	₩ -	₩ 6,028,651,127,383

(in Korean won)

	2024				
	Acquisition cost	Accumulated depreciation	Accumulated impairment loss	Government grants	Carrying amount
Land	₩ 141,114,205,121	₩ -	₩ -	₩ -	₩ 141,114,205,121
Buildings	1,941,818,030,752	(221,747,706,021)	-	-	1,720,070,324,731
Structures	15,309,119,450	(2,718,190,790)	-	(169,220,359)	12,421,708,301
Machinery	2,628,135,875,132	(1,018,597,647,622)	-	-	1,609,538,227,510
Vehicles	1,461,971,542	(1,267,235,970)	-	-	194,735,572
Others	143,215,735,485	(85,698,160,041)	-	-	57,517,575,444
Construction-in-progress	1,833,210,739,625	-	(113,995,597)	-	1,833,096,744,028
	₩ 6,704,265,677,107	₩ (1,330,028,940,444)	₩ (113,995,597)	₩ (169,220,359)	₩ 5,373,953,520,707

Samsung Biologics Co., Ltd. and Subsidiaries

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Changes in property, plant and equipment for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025									
	Beginning balance	Acquisition	Disposal and others	Depreciation	Depreciation of government grants	Spin-off ¹	Others ^{2,3}	Ending balance		
Land	₩ 141,114,205,121	₩ 170,480,040	₩ -	₩ -	₩ -	(133,085,822,711)	₩ 453,775,445,485	₩ 461,974,307,935		
Buildings	1,720,070,324,731	65,724,084,602	(312,272,272)	(84,041,691,375)	-	(150,612,032,415)	1,484,299,511,789	3,035,127,925,060		
Structures	12,421,708,301	-	-	(373,836,652)	3,719,129	(2,907,180,431)	315,370,000	9,459,780,347		
Machinery	1,609,538,227,510	23,217,414,517	(6,648,213,581)	(248,453,310,769)	-	(26,330,266,208)	679,572,680,942	2,030,896,532,411		
Vehicles	194,735,572	-	-	(180,000,291)	-	(64,028,889)	313,677,912	264,384,304		
Others	57,517,575,444	1,007,130,495	(131,147,656)	(24,259,646,150)	-	(3,067,090,520)	29,700,723,784	60,767,545,397		
Construction-in-progress	1,833,096,744,028	802,243,391,085	-	-	-	(10,169,025,832)	(2,195,010,457,352)	430,160,651,929		
	₩ 5,373,953,520,707	₩ 892,362,500,739	₩ (7,091,633,509)	₩ (357,308,485,237)	₩ 3,719,129	₩ (326,235,447,006)	₩ 452,966,952,560	₩ 6,028,651,127,383		

¹ The consolidated entities completed a spin-off of its subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

² Includes the effects of changes in foreign exchange rates. In addition, for the year ended December 31, 2025, ₩453,769 million was transferred from right-of-use assets to land.

³ For the year ended December 31 2025, ₩2,182.9 billion was transferred from construction-in-progress to property, plant, and equipment.

(in Korean won)

	2024									
	Beginning balance	Acquisition	Disposal and others	Depreciation	Depreciation of government grants	Impairment	Others	Ending balance		
Land	₩ 141,064,558,410	₩ -	₩ -	₩ -	₩ -	₩ -	₩ 49,646,711	₩ 141,114,205,121		
Buildings	1,755,754,606,136	627,020	(56,177,092)	(48,564,899,628)	-	-	12,936,168,295	1,720,070,324,731		
Structures	12,398,885,849	-	-	(380,529,983)	4,462,955	-	398,889,480	12,421,708,301		
Machinery	1,702,076,667,262	266,058,951	(3,027,280,034)	(212,381,960,439)	-	-	122,604,741,770	1,609,538,227,510		
Vehicles	185,236,206	15,460,455	(13,083,250)	(121,777,542)	-	-	128,899,703	194,735,572		
Others	66,201,355,209	1,024,785,501	(193,058,787)	(30,462,176,460)	-	-	20,946,669,981	57,517,575,444		
Construction-in-progress	202,410,848,994	1,786,208,589,704	-	-	-	(113,995,597)	(155,408,699,073)	1,833,096,744,028		
	₩ 3,880,092,158,066	₩ 1,787,515,521,631	₩ (3,289,599,163)	₩ (291,911,344,052)	₩ 4,462,955	₩ (113,995,597)	₩ 1,656,316,867	₩ 5,373,953,520,707		

Classification of depreciation for the years ended December 31, 2025 and 2024 is as follows:

(in Korean won)

	2025	2024
Cost of revenue	₩ 321,414,825,122	₩ 254,956,370,248
Selling, general and administrative expenses	22,771,938,738	22,417,001,986
	<u>₩ 344,186,763,860</u>	<u>₩ 277,373,372,234</u>

For the year ended December 31, 2025, the Group has capitalized borrowing costs amounting to ₩ 835 million (2024: ₩ 18,192 million) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 3.82% (2024: 3.56%).

Samsung Biologics Co., Ltd. and Subsidiaries **Notes to the Consolidated Financial Statements** **December 31, 2025 and 2024**

15. Intangible Assets

Intangible assets as of December 31, 2025 and 2024 consist of:

(in Korean won)

	2025				
	Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩ 120,442,643,625	₩ (77,167,880,120)	₩ -	₩ -	₩ 43,274,763,505
Others	4,647,883,258	(3,781,783,883)	-	-	866,099,375
Membership	14,667,427,182	-	(521,756,000)	-	14,145,671,182
Trademarks	300,465,541	(51,577,351)	-	-	248,888,190
Patents	1,199,096,273	(72,976,909)	-	-	1,126,119,364
Land use rights	69,525,088,429	(20,046,400,503)	-	(49,478,687,926)	-
Construction-in-progress	531,728,660	-	-	-	531,728,660
Development cost	-	-	-	-	-
In-process R&D	-	-	-	-	-
Goodwill	-	-	-	-	-
	₩ 211,314,332,968	₩ (101,120,618,766)	₩ (521,756,000)	₩ (49,478,687,926)	₩ 60,193,270,276

(in Korean won)

	2024				
	Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩ 109,470,112,865	₩ (63,737,675,013)	₩ -	₩ -	₩ 45,732,437,852
Others	18,372,612,532	(9,275,172,595)	(667,995,478)	-	8,429,444,459
Membership	15,063,909,050	-	(521,756,000)	-	14,542,153,050
Trademarks	147,643,569	(37,932,398)	-	-	109,711,171
Patents	8,983,000	(1,734,650)	-	-	7,248,350
Land use rights	69,525,088,429	(18,655,898,734)	-	(50,869,189,695)	-
Construction-in-progress	12,239,584,698	-	-	-	12,239,584,698
Development cost ¹	3,258,021,643,531	(608,135,534,811)	(56,896,483,365)	-	2,592,989,625,355
In-process R&D ¹	1,217,053,687,526	-	(3,409,140,271)	-	1,213,644,547,255
Goodwill	1,677,607,967,122	-	-	-	1,677,607,967,122
	₩ 6,377,511,232,322	₩ (699,843,948,201)	₩ (61,495,375,114)	₩ (50,869,189,695)	₩ 5,565,302,719,312

¹ The carrying amount of development costs of the Group includes increases due to business combinations.

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Changes in intangible assets for the years ended December 31, 2025 and 2024 are as follows:

	2025									
	Beginning balance	Acquisition through external purchase	Acquisition through internal development	Disposals	Amortization	Amortization of government grants	Spin-off ¹	Others ²	Ending balance	
Software	₩ 45,732,437,852	₩ 534,299,649	₩ -	₩ (3,122,500)	₩ (15,870,683,719)	₩ -	₩ (1,862,829,793)	₩ 14,744,662,016	₩ 43,274,763,505	
Others	8,429,444,459	5,721,815,566	-	-	(2,333,063,959)	-	(13,694,949,181)	2,742,852,490	866,099,375	
Membership	14,542,153,050	1,022,000,000	-	-	-	-	(3,401,371,860)	1,982,889,992	14,145,671,182	
Trademarks	109,711,171	-	-	-	(17,889,476)	-	(2,000)	157,068,495	248,888,190	
Patents	7,248,350	128,623,991	-	-	(71,242,259)	-	-	1,061,489,282	1,126,119,364	
Land use rights	-	-	-	-	(1,390,501,769)	1,390,501,769	-	-	-	
Construction-in-progress	12,239,584,698	10,212,213,683	-	-	-	-	(1,995,319,910)	(19,924,749,811)	531,728,660	
Development cost	2,592,989,625,355	-	-	-	(246,813,005,628)	-	(2,727,554,484,091)	381,377,864,364	-	
In-process R&D	1,213,644,547,255	-	65,610,467,282	-	-	-	(897,877,150,173)	(381,377,864,364)	-	
Goodwill	1,677,607,967,122	-	-	-	-	-	(1,677,607,967,122)	-	-	
	₩ 5,565,302,719,312	₩ 17,618,952,889	₩ 65,610,467,282	₩ (3,122,500)	₩ (266,496,386,810)	₩ 1,390,501,769	₩ (5,323,994,074,130)	₩ 764,212,464	₩ 60,193,270,276	

¹ The consolidated entities completed a spin-off of its subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025. An impairment test was performed on the spin-off division as of the valuation date (October 31, 2025). The results of the impairment review indicated that no additional impairment was identified. The key assumptions used to calculate the recoverable amount of major cash-generating units (CGUs) as of the valuation date include a terminal growth rate of 3%, and discount rates of 9.4% for development costs, 10.4% for In-process R&D, and 8.4% for goodwill.

² Includes the effects of changes in foreign exchange rates.

	2024									
	Beginning balance	Acquisition through external purchase	Acquisition through internal development	Disposals	Amortization	Amortization of government grants	Impairment	Others	Ending balance	
Software	₩ 37,622,475,617	₩ 1,465,033,283	₩ -	₩ (445,033)	₩ (12,999,905,064)	₩ -	₩ -	₩ 19,645,279,049	₩ 45,732,437,852	
Others	10,532,087,706	2,200,000	-	(45,150,000)	(2,901,130,742)	-	(667,995,478)	1,509,432,973	8,429,444,459	
Membership	12,165,943,329	2,879,842,390	-	-	-	-	-	(503,632,669)	14,542,153,050	
Trademarks	114,792,811	496,892	-	-	(15,139,752)	-	-	9,561,220	109,711,171	
Patents	8,146,650	-	-	-	(898,300)	-	-	-	7,248,350	
Land use rights	-	-	-	-	(1,390,501,769)	1,390,501,769	-	-	-	
Construction-in-progress	9,161,430,897	25,266,014,972	-	(253,000,000)	-	-	-	(21,934,861,171)	12,239,584,698	
Development cost	2,574,056,915,367	-	-	-	(278,827,734,985)	-	(56,896,483,365)	354,656,928,338	2,592,989,625,355	
In-process R&D	1,510,818,397,718	-	60,892,218,146	-	-	-	(3,409,140,271)	(354,656,928,338)	1,213,644,547,255	
Goodwill	1,677,607,967,122	-	-	-	-	-	-	-	1,677,607,967,122	
	₩ 5,832,088,157,217	₩ 29,613,587,537	₩ 60,892,218,146	₩ (298,595,033)	₩ (296,135,310,612)	₩ 1,390,501,769	₩ (60,973,619,114)	₩ (1,274,220,598)	₩ 5,565,302,719,312	

Classification of amortization for the years ended December 31, 2025 and 2024 is as follows:

(in Korean won)	2025	2024
Cost of revenue	₩ 1,716,864,431	₩ 1,986,541,082
Selling, general and administrative expenses	13,821,946,514	10,961,111,351
	₩ 15,538,810,945	₩ 12,947,652,433

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Total research and development costs recognized as expense for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)	2025		2024	
	Cost of revenue	Selling, general and administrative expenses	Cost of revenue	Selling, general and administrative expenses
Ordinary research expense	₩ -	₩ 37,181,220,139	₩ -	₩ 36,710,810,368

16. Debenture and Borrowings

Debentures and borrowings as of December 31, 2025 and 2024 are as follows:

(in Korean won)	2025		2024	
	Current	Non-current	Current	Non-current
Debentures	₩ 319,712,704,765	₩ 599,011,716,516	₩ -	₩ 917,756,707,992
Short-term borrowings	-	-	207,000,000,000	-
Long-term borrowings	-	-	120,000,000,000	95,000,000,000
	₩ 319,712,704,765	₩ 599,011,716,516	₩ 327,000,000,000	₩ 1,012,756,707,992

Details of debentures as of December 31, 2025 and 2024 are as follows:

(in Korean won)	Issue date	Maturity date	Interest rate (%)	2025	2024
7-2nd public debenture (Non-guaranteed)	2021-09-03	2026-09-03	2.19	₩ 120,000,000,000	₩ 120,000,000,000
8-1st Public Debenture (Non-guaranteed)	2024-10-11	2026-10-08	3.27	200,000,000,000	200,000,000,000
8-2nd Public Debenture (Non-guaranteed)	2024-10-11	2027-10-08	3.38	600,000,000,000	600,000,000,000
Discount on debentures				(1,275,578,719)	(2,243,292,008)
				918,724,421,281	917,756,707,992
Current portion transferred				(319,712,704,765)	-
				₩ 599,011,716,516	₩ 917,756,707,992

Details of short-term borrowings as of December 31, 2025 and 2024 are as follows:

(in Korean won)	2025	2024
Short-term borrowings in Korean won		
Kookmin Bank and 6 others	₩ -	₩ 207,000,000,000

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Details of long-term borrowings as of December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025		2024	
Long-term borrowings in Korean won				
Hana Bank and 2 others	₩	-	₩	215,000,000,000
Current Portion		-	-	(120,000,000,000)
	₩	-	₩	95,000,000,000

The repayment schedule of debentures and borrowings as of December 31, 2025, are as follows:

<i>(in Korean won)</i>	Debentures		Total	
January 1, 2026 ~ December 31, 2026	₩	320,000,000,000	₩	320,000,000,000
January 1, 2027 ~ December 31, 2027		600,000,000,000		600,000,000,000
	₩	920,000,000,000	₩	920,000,000,000

17. Trade and Other Payables

Details of trade and other payables as of December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	December 31, 2025		December 31, 2024	
	Current	Non-current	Current	Non-current
Trade payables	₩ 59,814,078,880	₩ -	₩ 177,992,027,997	₩ -
Liabilities under supplier finance arrangements ¹	13,816,198,731	-	548,428,157,195	-
Other payables	98,183,866,317	-	239,265,201,747	-
Accrued expenses	314,573,132,883	23,361,343,268	545,402,990,026	33,726,570,667
Total ²	₩ 486,387,276,811	₩ 23,361,343,268	₩ 1,511,088,376,965	₩ 33,726,570,667

¹ Liabilities under supplier finance arrangements are generally settled within 120 days (Note 30).

² Trade and other payables to related parties as of December 31, 2025 and 2024 are ₩ 37,761 million and ₩ 561,979 million, respectively (Note 31).

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18. Emission Liability

(a) Emissions Allowances

The Group has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. The quantity of emission allowances for the 3rd planning periods (2021 ~ 2025) allocated free of charge is as follows:

<i>(In tCO2-eq)</i>	2021	2022	2023¹	2024	2025	Total
Allocation free of charge ¹	123,815	157,435	206,647	222,081	121,247	831,225

¹ Changes due to additional allocations have been reflected.

As of December 31, 2025, no emission allowances have been pledged as collateral.

Changes in emission allowances quantities and the carrying amounts for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won and in tCO2-eq)</i>	2024		2025		2026¹	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
Beginning balance and Allocated free of charge	222,081	₩ -	121,247	₩ -	278,695	₩ -
Purchase/Disposal	4,438	37,501,100	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	(226,519)	(37,501,100)	-	-	-	-
Ending Balance	-	₩ -	121,247	₩ -	278,695	₩ -

¹ This represents the quantity of emission allowances allocated for the fourth planning period.

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(b) Emission liabilities

Changes in emission liabilities for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 500,890,270	₩ 551,917,600	₩ (500,890,270)	₩ 551,917,600

<i>(in Korean won)</i>	2024			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 863,719,120	₩ 500,890,270	₩ (863,719,120)	₩ 500,890,270

The Group estimated that it emitted 264,470 tons of carbon dioxide(tCO₂-eq) for the year ended December 31, 2025.

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19. Lease

The amounts relating to leases recognized as of December 31, 2025 and 2024 in the consolidated statement of financial position, are as follows:

<i>(in Korean won)</i>	2025	2024
Right-of-use assets¹		
Land ²	₩ -	₩ 445,964,408,073
Buildings	8,648,576,593	16,897,420,368
Machinery	-	39,410,864
Vehicles	232,267,565	627,401,201
	<u>₩ 8,880,844,158</u>	<u>₩ 463,528,640,506</u>
Lease liabilities		
Current	₩ 7,257,974,993	₩ 138,594,047,222
Non-current	1,112,062,611	7,888,720,135
	<u>₩ 8,370,037,604</u>	<u>₩ 146,482,767,357</u>

¹ Decreases in the right-of-use assets for the year ended December 31, 2025, were ₩ 442,085 million and additions to the right-of-use assets for the year ended December 31, 2024 were ₩ 14,132 million.

² For the year ended December 31, 2025, ₩ 453,769 million was transferred to property, plant and equipment.

The amounts relating to leases recognized for the years ended December 31, 2025 and 2024 in the consolidated statement of comprehensive income, are as follows:

<i>(in Korean won)</i>	2025	2024
Statement of comprehensive income:		
Depreciation of right-of-use assets		
Land	₩ 197,060,213	₩ 331,317,547
Buildings	9,048,767,299	9,865,791,807
Machinery	-	16,710,925
Vehicles	914,206,371	874,082,599
	<u>10,160,033,883</u>	<u>11,087,902,878</u>
Interest expenses	1,797,223,400	2,445,647,886
Impairment loss	-	682,100,276
Expense relating to variable lease payments not included in lease liabilities	3,864,583,388	3,845,429,181
Expense relating to leases of low-value assets	2,265,678,561	1,598,229,552
	<u>₩ 18,087,519,232</u>	<u>₩ 19,659,309,773</u>

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Classification of depreciation of right-of-use assets for the years ended December 31, 2025 and 2024 is as follows:

<i>(in Korean won)</i>	2025	2024
Cost of revenue	₩ 7,058,466,049	₩ 7,918,796,133
Selling, general and administrative expenses	3,101,567,834	3,169,106,745
	<u>₩ 10,160,033,883</u>	<u>₩ 11,087,902,878</u>

The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments for the years ended December 31, 2025 and 2024 were ₩ 157,044 million and ₩ 158,634 million, respectively. The cash flows of Samsung Bioepis Co., Ltd. and its subsidiaries, which were spun off, are included in the cash flow statements for the years ended December 31, 2025 and 2024.

20. Other Liabilities

Details of other liabilities as of December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025		2024	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 1,189,846,533,432	₩ 75,640,730,780	₩ 989,943,553,496	₩ 58,609,112,309
Withholdings	11,611,996,403	-	11,184,270,524	-
Unearned revenue	-	-	400,007,220,974	-
Non-controlling interests- liabilities	-	-	-	206,623,053
	<u>₩ 1,201,458,529,835</u>	<u>₩ 75,640,730,780</u>	<u>₩ 1,401,135,044,994</u>	<u>₩ 58,815,735,362</u>

21. Employee Benefit

Recognized assets and liabilities for employee benefits as of December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025	2024
Net defined benefit liabilities (assets)		
Present value of Defined benefit obligations	₩ 200,985,537,662	₩ 228,854,513,006
Fair value of plan assets	(224,281,325,241)	(234,527,128,195)
	<u>(23,295,787,579)</u>	<u>(5,672,615,189)</u>
Trade and other payables		
Accrued expenses and others ¹	214,749,198,462	214,876,182,267
Long-term accrued expenses ¹	23,361,343,268	30,820,201,719
	<u>238,110,541,730</u>	<u>245,696,383,986</u>
	<u>₩ 214,814,754,151</u>	<u>₩ 240,023,768,797</u>

¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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Changes in defined benefit liabilities (asset) for the years ended December 31, 2025 and 2024 are as follow:

(in Korean won)	2025		
	Defined benefit obligations	Plan assets	Net defined benefit liabilities (assets)
Beginning balance	₩ 228,854,513,006	₩ (234,527,128,195)	₩ (5,672,615,189)
Included in profit or loss :			
Current service cost	40,828,289,197	-	40,828,289,197
Interest cost(income)	9,333,912,110	(9,712,715,058)	(378,802,948)
	50,162,201,307	(9,712,715,058)	40,449,486,249
Included in other comprehensive income or loss :			
Remeasurement loss (gain)			
- Actuarial loss (gain) arising from	6,238,048,726	-	6,238,048,726
Demographic assumptions	-	-	-
Financial assumptions	(5,249,632,095)	-	(5,249,632,095)
Experience adjustment	11,487,680,821	-	11,487,680,821
- Return on plan assets	-	2,282,431,053	2,282,431,053
	6,238,048,726	2,282,431,053	8,520,479,779
Others :			
- Contributions to plan assets	-	(49,465,564,112)	(49,465,564,112)
- Benefit payments	(8,621,586,110)	6,339,817,810	(2,281,768,300)
- Transfer in/out from affiliates	1,425,862,890	(257,387,890)	1,168,475,000
- Spin-Off	(73,788,063,607)	56,323,507,641	(17,464,555,966)
- Other payments	(3,285,438,550)	4,735,713,510	1,450,274,960
	(84,269,225,377)	17,676,086,959	(66,593,138,418)
Ending balance	₩ 200,985,537,662	₩ (224,281,325,241)	₩ (23,295,787,579)

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(in Korean won)	2024		
	Defined benefit obligations	Plan assets	Net defined benefit liabilities (assets)
Beginning balance	₩ 186,056,816,875	₩ (201,527,360,200)	₩ (15,470,543,325)
Included in profit or loss :			
Current service cost	36,254,373,547	-	36,254,373,547
Interest cost(income)	8,708,193,831	(9,612,546,420)	(904,352,589)
	44,962,567,378	(9,612,546,420)	35,350,020,958
Included in other comprehensive income or loss :			
Remeasurement loss (gain)			
- Actuarial loss (gain) arising from	14,556,868,903	-	14,556,868,903
Demographic assumptions	652,111	-	652,111
Financial assumptions	9,148,719,861	-	9,148,719,861
Experience adjustment	5,407,496,931	-	5,407,496,931
- Return on plan assets	-	2,205,986,850	2,205,986,850
	14,556,868,903	2,205,986,850	16,762,855,753
Others :			
- Contributions to plan assets	-	(33,728,746,085)	(33,728,746,085)
- Benefit payments	(12,119,955,220)	6,572,625,960	(5,547,329,260)
- Transfer in/out from affiliates	(2,832,685,390)	218,758,910	(2,613,926,480)
- Spin-Off	-	-	-
- Other payments	(1,769,099,540)	1,344,152,790	(424,946,750)
	(16,721,740,150)	(25,593,208,425)	(42,314,948,575)
Ending balance	₩ 228,854,513,006	₩ (234,527,128,195)	₩ (5,672,615,189)

¹The profit or loss of Samsung Bioepis Co., Ltd., which was subject to a spin-off during the current period, is included in the profit or loss for both the current and prior periods.

Details of plan assets as of December 31, 2025 and 2024 are as follow:

(in Korean won)	2025	2024
Principal-protected fixed income products, etc.	₩ 224,281,325,241	₩ 234,524,320,695
Others (transfer to National pension)	-	2,807,500
	₩ 224,281,325,241	₩ 234,527,128,195

Samsung Biologics Co., Ltd. and Subsidiaries **Notes to the Consolidated Financial Statements** **December 31, 2025 and 2024**

The allocations of total expenses related to defined benefit obligation for the years ended December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025		2024	
Cost of sales	₩	24,242,160,106	₩	19,606,844,159
Selling and administrative expenses		8,200,587,549		5,908,843,314
Construction in progress		267,178,325		1,300,859,152
	₩	32,709,925,980	₩	26,816,546,625

The expense recognized for the year ended December 31, 2025 in relation to defined contribution plan was ₩ 263 million (2024: ₩ 137 million).

The significant actuarial assumptions as of December 31, 2025 and 2024 are as follows:

<i>(in percentage, %)</i>	2025	2024
Discount rate	5.24%	3.55% ~ 4.89%
Future salary increases	4.47%	4.51% ~ 5.53%

As of December 31, 2025 and 2024 the weighted average duration of the defined benefit obligation is 7.85 years and 7.45 years, respectively.

As of December 31, 2025, effects on the present value of defined benefit obligations if each of significant actuarial assumptions changes within potential reasonable range are as follows (if changed by 1%):

<i>(in Korean Won)</i>		Salary growth rate		Discount rate	
		1% increase	1% decrease	1% increase	1% decrease
Impact on present value of defined benefit obligations	₩	16,479,915,933	(14,678,984,135)	₩ (14,058,493,494)	16,017,931,225

As of December 31, 2025, estimate of the employer contribution expected to be paid in the following year in relation to the defined benefit plan is ₩ 35,798 million.

Samsung Biologics Co., Ltd. and Subsidiaries **Notes to the Consolidated Financial Statements** **December 31, 2025 and 2024**

22. Share Capital and Reserves

Details of share capital as of December 31, 2025 and 2024 are summarized as follow:

<i>(in Korean won, in shares)</i>	2025	2024
Number of shares authorized	500,000,000	500,000,000
Par value	₩ 2,500	₩ 2,500
Number of shares issued	46,290,951	71,174,000
Share capital	₩ 115,727,377,500	₩ 177,935,000,000

¹The consolidated entities completed a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

The changes in the number of issued shares and outstanding shares for the years ended December 31, 2025 and 2024 are as follows:

<i>(in shares)</i>	2025		2024	
	Number of Issued shares	Number of outstanding shares	Number of Issued shares	Number of outstanding shares
Beginning Balance	71,174,000	71,174,000	71,174,000	71,174,000
Spin-off	(24,883,049)	(24,883,049)	-	-
Acquisition of treasury shares	-	(51,433)	-	-
Ending Balance	<u>46,290,951</u>	<u>46,239,518</u>	<u>71,174,000</u>	<u>71,174,000</u>

Details of share premium as of December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025	2024
Share premium	₩ 4,242,505,031,382	₩ 6,523,003,969,121
Other capital surplus	(850,578,848,000)	(859,892,616,527)
	<u>₩ 3,391,926,183,382</u>	<u>₩ 5,663,111,352,594</u>

Details of accumulated other comprehensive loss as of December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025	2024
Remeasurements of net defined benefit liabilities	₩ (22,379,618,394)	₩ (26,556,285,522)
Foreign currency translation	2,571,026,299	3,577,374,749
	<u>₩ (19,808,592,095)</u>	<u>₩ (22,978,910,773)</u>

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Change in the retained earnings for the years ended December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025		2024	
Beginning balance	₩	5,086,608,620,197	₩	4,003,292,734,211
Profit for the year		1,784,352,060,593		1,083,315,885,986
Ending balance	₩	6,870,960,680,790	₩	5,086,608,620,197

23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025		2024	
Revenue:				
Product sales	₩	4,358,255,761,337	₩	3,380,431,080,972
Other sales		198,715,933,843		116,714,594,810
	₩	4,556,971,695,180	₩	3,497,145,675,782
Cost of revenue:				
Cost of product sales	₩	1,520,368,070,583	₩	1,409,956,335,498
Cost of other sales ¹		519,963,212,951		376,004,640,230
	₩	2,040,331,283,534	₩	1,785,960,975,728

¹ Cost of other sales includes loss on abnormal capacity, (reversal of) loss on valuation of inventories, etc.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>		2025		2024
Salaries	₩	83,233,151,541	₩	55,122,919,879
Bonuses		62,443,256,073		36,404,734,646
Retirement benefit		7,605,034,360		5,490,328,557
Employee welfare		34,343,873,881		22,916,882,641
Depreciation		18,224,778,269		18,673,352,903
Amortization		13,796,602,448		10,947,884,086
Repairs and Maintenance Expenses		15,799,446,876		12,132,036,199
Supplies Expenses		5,500,466,916		3,376,201,502
Utility Expenses		1,996,885,688		1,621,298,814
Service Fees		102,534,181,445		109,954,526,423
Training Expenses		12,445,751,408		12,022,385,531
IT Expenses		11,952,883,635		30,707,295,810
Taxes and Dues		5,970,307,266		4,687,504,072
Insurance Expenses		12,604,968,003		10,482,221,840
Advertising and Promotion Expenses		6,614,814,831		7,180,411,234
Bad Debt Expenses(Reversal)		(811,804,536)		(6,379,525,563)
R&D Expenses		37,181,220,139		36,710,810,368
Others		15,983,326,773		17,767,050,524
	₩	447,419,145,016	₩	389,818,319,466

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25. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>		2025		2024
Changes in work-in-process and finished goods	₩	(215,761,466,354)	₩	(222,757,038,377)
Changes in costs to fulfill a contract		(57,318,145,817)		(18,539,340,681)
Raw materials and supplies used		897,325,262,252		783,149,196,632
Employee benefits		746,987,830,292		613,951,157,984
Depreciation and amortization		359,725,574,807		290,321,024,668
Supplies expenses		150,914,560,224		122,792,506,523
Utility expenses		117,564,527,671		89,627,978,570
Service fees		155,998,065,988		175,011,748,760
Repairs and Maintenance Expenses		96,217,795,193		93,355,756,669
Others		236,096,424,294		248,866,304,446
Total cost of sales, and selling, general and administrative expenses ¹	₩	2,487,750,428,550	₩	2,175,779,295,194

¹ This refers to the sum of cost of sales and selling and administrative expenses on the statement of profit or loss.

26. Other Income and Expenses

Details of other income for the years ended December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>		2025		2024
Rental incomes	₩	592,404,551	₩	585,791,979
Fees incomes		4,207,332		4,704,624
Gain on disposal of property, plant and equipment		813,632,534		339,635,622
Gain on lease cancellation		366,916		755,665
Miscellaneous gains		5,878,263,899		3,519,919,455
	₩	7,288,875,232	₩	4,450,807,345

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Details of other expenses for the years ended December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025	2024
Donations	₩ 4,068,297,257	₩ 2,979,814,688
Loss on disposal of property, plant and equipment	817,900,081	1,779,907,394
Loss on retirement of property, plant and Equipment	5,435,571,996	508,262,693
Loss on disposal of intangible assets	3,122,500	367,667
Impairment loss on intangible assets	-	682,100,276
Miscellaneous losses	54,764,467	396,449,987
	₩ 10,379,656,301	₩ 6,346,902,705

27. Finance Income and Costs

Details of finance income for the years ended December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025	2024
Interest income	₩ 46,033,670,092	₩ 54,404,315,038
Gain on valuation of derivative assets	-	1,086,047,835
Gain on foreign currency translations	9,847,025,915	53,145,083,941
Gain on foreign currency transactions	94,902,424,424	99,828,550,914
	₩ 150,783,120,431	₩ 208,463,997,728

Details of finance costs for the years ended December 31, 2025 and 2024 are as follow:

<i>(in Korean won)</i>	2025	2024
Interest expenses	₩ 29,171,280,928	₩ 34,123,175,511
Loss on transactions of derivative assets	-	459,701,862
Loss on foreign currency translations	15,307,166,531	6,318,332,040
Loss on foreign currency transactions	96,889,345,520	104,822,887,770
	₩ 141,367,792,979	₩ 145,724,097,183

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28. Income Tax Expense

Income tax expense for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>		2025		2024
Current income tax expense:				
Current income tax	₩	555,514,765,051	₩	391,982,822,733
Adjustments		(27,010,607,397)		(4,028,539,262)
Deferred tax expense:				
Temporary differences		(24,522,346,190)		(41,412,985,414)
Income taxes recognized directly in equity		1,551,599,719		2,992,632,734
Classification of discontinued operations		(1,232,467,955)		(4,966,642,275)
Income tax expense(revenue)	₩	504,300,943,228	₩	344,567,288,516

Income tax expense also excludes income tax expense related to discontinued operations of ₩ 25,964,040,035 and ₩ (-)57,831,548,749 for the years ended December 31, 2025 and 2024 respectively. These amounts are fully included in the post-tax profit or loss from discontinued operations.

The relationship between tax expense and accounting profit for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>		2025		2024
Profit before income tax	₩	2,118,631,252,684	₩	1,384,868,829,747
Income taxes at statutory tax rate		550,074,508,965		360,227,551,429
Adjustments:				
Non-deductible expense		437,775,923		135,079,116
Tax credit		(16,000,725,648)		(9,002,829,278)
Effect of change in average tax rate		(4,850,172,574)		(1,993,976,045)
Adjustments recognized during the current year		(27,010,607,397)		(879,298,128)
Others		2,882,631,914		1,047,403,697
Classification of discontinued operations		(1,232,467,955)		(4,966,642,275)
Income tax expense(revenue)	₩	504,300,943,228	₩	344,567,288,516
Average effective tax rate		23.80%		24.88%

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Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025		
	Before Tax	Tax expense	After Tax
Net defined benefit plan remeasurements	₩ (8,520,479,779)	₩ 3,223,968,610	₩ (5,296,511,169)
Foreign currency translation	(7,071,341)	(89,650,142)	(96,721,483)
Spin-off	16,760,578,719	(8,197,027,389)	8,563,551,330
	<u>₩ 8,233,027,599</u>	<u>₩ (5,062,708,921)</u>	<u>₩ 3,170,318,678</u>

(in Korean won)

	2024		
	Before Tax	Tax expense	After Tax
Net defined benefit plan remeasurements	₩ (16,762,855,753)	₩ 5,199,664,645	₩ (11,563,191,108)
Foreign currency translation	2,617,697,922	(186,743,127)	2,430,954,795
	<u>₩ (14,145,157,831)</u>	<u>₩ 5,012,921,518</u>	<u>₩ (9,132,236,313)</u>

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

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Changes in deferred tax assets (liabilities) as of December 31, 2025 and 2024 are as follows:

(in Korean won)

					Other comprehensive income	December 31, 2025			
						Net	Deferred tax assets	Deferred tax liabilities	
	January 1, 2025	Spin-off	Profit or loss						
Accrued expenses	₩ 51,678,733,020	₩ (10,741,609,530)	₩ 4,851,841,691	₩ -	₩ 45,788,965,181	₩ 45,788,965,181	₩ -	₩ -	
Net defined benefit obligations	670,922,457	(5,226,761,449)	(5,023,227,347)	3,223,968,610	(6,355,097,729)	-	(6,355,097,729)		
Loss (gain) on foreign currency translations	(11,455,617,438)	-	13,132,799,391	-	1,677,181,953	1,677,181,953	-		
Inventory	147,505,591,809	(131,665,302,875)	5,978,563,714	-	21,818,852,648	21,818,852,648	-		
Bad debt expenses	9,191,457,534	-	(391,775,613)	-	8,799,681,921	8,799,681,921	-		
Depreciation	(4,213,775,752)	-	2,179,313,399	-	(2,034,462,353)	-	(2,034,462,353)		
Provision for performance bonus	34,262,843,053	(28,226,721)	7,860,683,028	-	42,095,299,360	42,095,299,360	-		
Gain from assets contributed	544,618,392	-	(302,112,242)	-	242,506,150	242,506,150	-		
Accrued income	(1,742,558,784)	44,502,197	(263,009,045)	-	(1,961,065,632)	-	(1,961,065,632)		
Emission liability	128,728,799	-	19,737,035	-	148,465,834	148,465,834	-		
Contract assets	(93,491,905,094)	300,203,087	(17,528,527,343)	-	(110,720,229,350)	-	(110,720,229,350)		
Contract liabilities	117,248,635,072	-	27,859,958,680	-	145,108,593,752	145,108,593,752	-		
Lease liabilities / Right-of-use assets	418,357,014	(274,833,777)	(183,088,283)	-	(39,565,046)	-	(39,565,046)		
Intangible asset	(774,220,979,730)	774,401,284,569	(53,669,750)	-	126,635,089	126,635,089	-		
Loss (gain) on valuation of derivative assets	-	-	-	-	-	-	-		
Derivatives valuation options	(3,959,616,061)	5,249,612,209	(1,289,996,148)	-	-	-	-		
Property, Plant and Equipment	(26,105,224,373)	26,168,838,548	(51,947,479)	-	11,666,696	11,666,696	-		
Unearned revenues	39,346,480,356	(39,346,480,356)	-	-	-	-	-		
Advance payments	(13,557,642,880)	13,557,642,880	-	-	-	-	-		
Investments in subsidiaries and associates	(470,930,280,730)	472,884,295,496	(13,824,797,426)	-	(11,870,782,660)	-	(11,870,782,660)		
Tax loss carryforward	-	-	-	-	-	-	-		
Tax credit carryforward	120,920,375,963	(120,920,375,963)	-	-	-	-	-		
Other	(94,136,352,012)	94,226,002,154	-	(89,650,142)	-	-	-		
	₩ (971,897,209,385)	₩ 1,078,628,790,469	₩ 22,970,746,262	₩ 3,134,318,468	₩ 132,836,645,814	₩ 265,817,848,584	₩ (132,981,202,770)		

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(in Korean won)

	January 1, 2024		Spin-off	Profit or loss		Other comprehensive income	December 31, 2024			
							Net	Deferred tax assets	Deferred tax liabilities	
Accrued expenses	₩	22,452,803,462	₩	-	₩	29,225,929,558	₩	-	₩	-
Net defined benefit obligations		(2,868,523,860)		-		(1,660,218,328)		5,199,664,645		670,922,457
Loss (gain) on foreign currency translations		5,409,170,469		-		(16,864,787,907)		-		(11,455,617,438)
Inventory		118,792,111,051		-		28,713,480,758		-		147,505,591,809
Bad debt expenses		10,625,783,919		-		(1,434,326,385)		-		9,191,457,534
Depreciation		(7,548,694,414)		-		3,334,918,662		-		(4,213,775,752)
Provision for performance bonus		30,030,227,768		-		4,232,615,285		-		34,262,843,053
Gain from assets contributed		743,055,816		-		(198,437,424)		-		544,618,392
Accrued income		(3,962,375,946)		-		2,219,817,162		-		(1,742,558,784)
Emission liability		222,839,533		-		(94,110,734)		-		128,728,799
Contract assets		(89,790,376,348)		-		(3,701,528,746)		-		(93,491,905,094)
Contract liabilities		91,299,426,575		-		25,949,208,497		-		117,248,635,072
Lease liabilities / Right-of-use assets		393,912,537		-		24,444,477		-		418,357,014
Intangible asset		(856,750,754,744)		-		82,529,775,014		-		(774,220,979,730)
Loss (gain) on valuation of derivative assets		(1,164,264,739)		-		1,164,264,739		-		-
Derivatives valuation options		1,058,243,425		-		(5,017,859,486)		-		(3,959,616,061)
Property, Plant and Equipment		(26,371,252,536)		-		266,028,163		-		(26,105,224,373)
Unearned revenues		49,144,054,302		-		(9,797,573,946)		-		39,346,480,356
Advance payments		(11,282,645,105)		-		(2,274,997,775)		-		(13,557,642,880)
Investments in subsidiaries and associates		(572,933,636,566)		-		102,003,355,836		-		(470,930,280,730)
Tax loss carryforward		436,220,821		-		(436,220,821)		-		-
Tax credit carryforward		106,536,535,053		-		14,383,840,910		-		120,920,375,963
Other		(48,892,067,852)		-		(45,057,541,033)		(186,743,127)		(94,136,352,012)
	₩	(1,184,420,207,379)	₩	-	₩	207,510,076,476	₩	5,012,921,518	₩	(971,897,209,385)
									₩	521,916,743,469
									₩	(1,493,813,952,854)

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The analysis of deferred tax assets and liabilities as of December 31, 2025 and 2024 is as follows:

<i>(in Korean won)</i>	2025	2024
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 108,235,847,305	₩ 217,297,016,917
Deferred tax asset to be recovered within 12 months	157,582,001,279	304,619,726,552
	<u>265,817,848,584</u>	<u>521,916,743,469</u>
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(103,144,417,235)	(1,445,009,041,260)
Deferred tax liability to be recovered within 12 months	(29,836,785,535)	(48,804,911,594)
	<u>(132,981,202,770)</u>	<u>(1,493,813,952,854)</u>
Deferred tax assets(liabilities), net	<u>₩ 132,836,645,814</u>	<u>₩ (971,897,209,385)</u>

Impact of Pillar Two Income Taxes

Under the Pillar Two legislation, the Group is liable to pay a top-up tax for the difference between their GloBE effective tax rate per jurisdiction and the 15% minimum rate. The Group conducted an assessment of potential exposure to Pillar Two corporate tax of its constituent entities based on the 2024 country-by-country reporting and their 2025 financial statements.

In most jurisdictions where the constituent entities operate, either the transitional relief provisions were met, or the effective tax rate was 15% or higher, resulting in no significant additional tax liabilities. Therefore, the Group has not recognized any amount as a current corporate tax expense related to Pillar Two legislation. Furthermore, the Group took advantage of exception regulation for the recognition and disclosure of deferred tax assets and liabilities related to Pillar Two legislation. As a result, the Group did not recognize nor disclose any deferred tax assets or liabilities associated with the Pillar Two legislation.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

December 31, 2025 and 2024

29. Earnings per Share

(a) Basic earnings per share

Basic earnings per share for the years ended December 31, 2025 and 2024 is calculated as follows:

<i>(in Korean won and in shares)</i>	2025	2024
Profit for the year	₩ 1,784,352,060,593	₩ 1,083,315,885,986
Weighted-average number of ordinary shares outstanding	67,010,390	71,174,000
Basic earnings per share from continuing operations	₩ 24,091	₩ 14,616
Basic earnings per share from discontinued operations	₩ 2,537	₩ 605

¹The consolidated entities completed a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for years ended December 31, 2025 and 2024 is as follows:

<i>(in share)</i>	2025	2024
Beginning number of ordinary shares issued	71,174,000	71,174,000
Treasury stock effect	(5,073)	-
Spin-off ¹	(4,158,537)	-
Weighted-average number of ordinary shares outstanding	67,010,390	71,174,000

¹The consolidated group established Samsung Epis Holdings Co., Ltd. through a spin-off as of November 1, 2025, and as a result, acquired fractional shares arising from the spin-off as treasury shares (common shares: 51,433).

(c) Diluted earnings per share

Because the Group has not issued any potential ordinary shares, basic earnings per share and diluted earnings per share are the same.

Samsung Biologics Co., Ltd. and Subsidiaries **Notes to the Consolidated Financial Statements** **December 31, 2025 and 2024**

30. Commitments and Contingencies

As of December 31, 2025, details of the Group's borrowings commitment with financial institutions are summarized as follows:

(in Korean won)

Financial institutions	Type	Currency	Limit	Currency	Outstanding balance
Woori Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
	B2B PLUS	KRW	5,760,000,000	KRW	-
Hana Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
	Comprehensive limit	KRW	40,000,000,000	KRW	-
Shinhan Bank	General loan	KRW	17,000,000,000	KRW	-
	Bank overdraft	KRW	10,000,000,000	KRW	-
Australia and New Zealand Banking Group Limited(*)	Facility loan	KRW	120,000,000,000	KRW	-

(*) On a USD basis, the amount is USD 100 million.

As of December 31, 2025, details of guarantees provided by financial institutions are summarized as follows:

(in Korean won)

	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantee	KRW	9,500,000,000	KRW	2,353,894,810
Kookmin Bank	Foreign Currency payment guarantee	KRW	30,000,000,000	KRW	-
Seoul Guarantee Insurance	Payment guarantee, etc.	KRW	29,837,669,200	KRW	29,837,669,200

Samsung Biologics Co., Ltd. and Subsidiaries

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If the Group does not comply with the commitments below, financial institutions may require an early redemption of long-term borrowings. Details of debt covenants related to debenture with financial institutions as of December 31, 2025, are as follows:

Issuance	Face Value	Financial Ratio Maintenance	Collateral Restriction	Asset Sale Limit	Governance Restriction
7-2nd debenture	₩ 120 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business group subject to cross-shareholding restrictions
8-1st debenture	₩ 200 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business group subject to cross-shareholding restrictions
8-2nd debenture	₩ 600 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business group subject to cross-shareholding restrictions

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

Lease terms are for a total of 50 years. The initial lease period are 20 years from the land lease contract date, April 28, 2011, and the Group can renew the contract for another 30 years in successive 10-year increments.

(ii) Exemption requirement

The Group whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of Common Property Management Ordinance of Incheon. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

As of December 31, 2025, there are a total of three pending lawsuits of stock transaction damages related to the Group's accounting and disclosure (Note 35) and the total amount of litigation is ₩ 8,920 million

There are 4 other lawsuits and the amount of litigation is ₩ 7,112 million.

Contractual obligation to purchase property, plant and equipment and intangible assets are as of December 31, 2025 are ₩ 308,461 million, of which the amount committed to related parties including Samsung E&A, Co., Ltd. is ₩ 15,619 million.

In November 2023, the Group entered into an investment agreement with a limit of total ₩ 17,820 million for SVIC No.64 New Technology Business Investment L.L.P. until November 2033.

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The Group entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Group must carry out all procedures, such as facility construction plans and approval for use, within 10 years from the enforcement date of the purchase agreement. In addition, from the effective date of the purchase agreement until the completion of the implementation of the business plan, the Group is not permitted to provide the land and facilities for the relevant purpose as collateral, such as by creating a mortgage, or to sell them to a third party. Failure to comply with this may result in the termination of the purchase agreement. During the current period, the full purchase price was paid, and the asset was reclassified to land.

The Group is currently in the process of acquiring Human Genome Sciences Inc., which owns an active pharmaceutical ingredient manufacturing facility in the United States, from GlaxoSmithKline Holdings (America) Inc. pursuant to an agreement dated December 19, 2025. The acquisition is expected to be completed during 2026.

The Group has entered into a supplier financing agreement with financial institutions to support the cash flow of strategic suppliers. Under the agreement, the bank acquires the rights to certain trade receivables of the suppliers. After this acquisition, the Group cannot directly make early payments to the suppliers, nor can it offset the liabilities with the receivables obtained from the suppliers. However, the Group has determined that it is appropriate to continue to present the related amounts in trade payables and other payables on the statement of financial position, as the terms of the trade payables have not substantially changed.

Details of the carrying amount of liabilities under supplier financing arrangements as of December 31, 2025 and December 31, 2024 are as follows.

<i>(in Korean won)</i>		2025		2024
Liabilities under supplier financing arrangements	₩	13,816,198,731	₩	548,428,157,195
Liabilities under supplier financing arrangements where financial institutions have paid the suppliers ¹		-		6,421,540,311

¹ There were no significant business combinations or exchange rate differences that would affect liabilities under supplier financing arrangements. Additionally, there were no non-cash changes from trade and other payables to liabilities under supplier financing arrangements as of December 31, 2025 and December 31, 2024.

Samsung Biologics Co., Ltd. and Subsidiaries

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The Group determined that the Group is not the party that receives cash from the financial institution. The Group considers the corresponding cash flow occurs due to financial institutions as cash outflows from operating activities.

Supplier finance commitment liabilities are short-term and their carrying amount is considered a reasonable approximation of fair value. Changes to the supplier financial agreement are as follows, and all other terms are the same as those for trade and other payables to the respective suppliers.

Range of maturity	2025	2024
Liabilities under supplier financing arrangements	Within 120 days from invoice issuance date	Within 120 days from invoice issuance date
Trade payables or other payables not part of supplier financing arrangements (same business)	Within 30 days from invoice issuance date	Within 30~45 days from invoice issuance date

31. Related Parties

As of December 31, 2025, Samsung C&T Corporation is a parent company, and the percentage of ownership it has over the Group is 43.06%.

Details of related parties as of December 31, 2025, are as follows:

Relationship	Name of entity
Parent Company	Samsung C&T Corporation
Entity which has significant influence on the Group	Samsung Electronics Co., Ltd
Associates	SVIC No.54 New Technology Business Investment L.L.P., SVIC No.64 New Technology Business Investment L.L.P.
Others	Samsung Bioepis Co., Ltd, SAMSUNG WELSTORY INC., Samsung C&T Deutschland GmbH, Samsung Research America, Inc., SAMSUNG ELECTRONICS SALES Co., Ltd., Samoo Architects & Engineers., Samsung C&T Japan Corporation, Samsung Electronics America, Inc., Seoul Lake Side Co., Ltd.
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung E&A, Co., Ltd., S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung Securities Co.,Ltd, SBTM Corporation, SECUI Corp., SHP Corporation, Miracom Inc., Samsung SDS America Inc., Samsung Hospitality America Inc. and others

¹ Although the entities are not the related party of the Group in accordance with K-IFRS No. 1024, the entities belong to the Business Group designated as a conglomerate to which the Group also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

Samsung Biologics Co., Ltd. and Subsidiaries

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Outstanding balances with related parties as of December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025				
	Receivables		Payables		
	Trade receivables	Other receivables	Other payables and others	Advance receipts	Contract liabilities
Parent Company					
Samsung C&T Corp.	₩ -	₩ 3,432,000	₩ 59,452,800	₩ -	₩ -
Entity which has significant influence					
Samsung Electronics Co., Ltd	-	-	12,378,438,601	-	-
Others					
Samsung Bioepis Co., Ltd.	30,138,121,351	32,022,798	-	44,172,152,086	53,003,379,736
SAMSUNG WELSTORY INC.	-	-	1,567,103,686	-	-
SAMSUNG ELECTRONICS SALES Co., Ltd.	-	-	11,419,400	-	-
Samsung C&T Deutschland GmbH	-	-	354,090,037	-	-
Samsung Electronics America, Inc.	-	-	99,049,712	-	-
Samsung Research America, Inc.	-	-	-	-	-
The Enterprise Group					
Samsung Card Co., Ltd.	-	108,455,223	876,419,658	-	-
SAMSUNG E&A Co., Ltd.	-	-	8,037,388,700	-	-
S-1 CORPORATION	-	34,584,000	3,085,804,524	-	-
SAMSUNG SDS Co., Ltd.	-	73,711,000	10,602,973,659	-	-
Others ¹	-	8,227,890	689,222,653	-	-
	<u>₩ 30,138,121,351</u>	<u>₩ 260,432,911</u>	<u>₩ 37,761,363,430</u>	<u>₩ 44,172,152,086</u>	<u>₩ 53,003,379,736</u>

¹ Transactions with Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., SBTM Corporation, Multicampus Corporation, SHP Corporation were included

Samsung Biologics Co., Ltd. and Subsidiaries

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(in Korean won)

	2024					
	Receivables			Payables		
	Trade receivables	Other receivables	Other payables and others	Advance receipts	Contract liabilities	
Parent Company						
Samsung C&T Corp.	₩	- ₩	- ₩	90,909,905 ₩	- ₩	-
Entity which has significant influence						
Samsung Electronics Co., Ltd		-	12,974,511,246	-		-
Associates and Joint ventures						
Aimed Bio Inc. ¹		- 1,151,653,488	258,721,276	-		7,900,116
BrickBio, Inc. ¹		- 2,053,447,762	-	-		-
Others						
SAMSUNG WELSTORY INC.		- 231,000	1,972,969,415	-		-
SAMSUNG ELECTRONICS SALES Co., Ltd.		-	53,078,000	-		-
SAMOO ARCHITECTS & ENGINEERS		-	7,700,000	-		-
Samsung C&T Deutschland GmbH		-	217,517,506	-		-
Samsung Electronics America, Inc.		-	54,100,410	-		-
Samsung Research America, Inc		-	4,246,463	-		-
The Enterprise Group						
SAMSUNG CARD Co., Ltd.		- 121,091,965	1,715,095,677	-		-
SAMSUNG E&A Co., Ltd.		-	520,024,076,000	-		-
S-1 CORPORATION		-	9,109,877,536	-		-
SAMSUNG SDS Co., Ltd.		- 28,994,000	14,430,626,860	-		-
Others ²		- 24,031,190	1,065,257,282	-		-
	₩	- ₩ 3,379,449,405	₩ 561,978,687,576	₩	- ₩	7,900,116

¹ Investments in financial instrument issued by affiliated companies were included.

² Transactions with Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., SBTM Corporation, SECUI Corp., Multicampus Corporation, Hotel Shilla Co.Ltd., SHP Corporation, Miracom Inc., S-CORE CO.,LTD., and Samsung SDS America, Inc. were included.

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Notes to the Consolidated Financial Statements

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

(in Korean won)

	2025									
	Revenue				Expenses				Asset acquisition	
	Sales		Others		Service Fees		Others			
Parent Company										
Samsung C&T Corp.	₩	-	₩	5,010,000	₩	1,127,675,000	₩	583,965,928	₩	-
Entity which has significant influence										
Samsung Electronics Co., Ltd		-		-		10,075,205,630		72,747,848		799,000,000
Others										
Samsung Bioepis Co., Ltd. ¹	2,590,547,301			-		-		-		-
SAMSUNG WELSTORY INC.	-			21,014,950		3,548,831,697		16,791,371,115		-
SAMSUNG ELECTRONICS SALES Co., Ltd.	-			23,100,000		-		122,518,179		-
Seoul Lake Side co.LTD	-			-		660,000		-		-
Samoo Architects & Engineers.	-			-		98,000,000		-		-
Samsung C&T Deutschland GmbH	-			-		-		1,797,507,868		-
Samsung C&T Japan Corporation	-			-		-		-		-
Samsung Electronics America, Inc.	-			-		349,102,495		-		-
Samsung Research America, Inc.	-			-		-		49,623,794		-
The Enterprise Group										
SAMSUNG E&A Co., Ltd.	-			-		17,140,640,000		10,000,000,000		525,005,170,741
S-1 CORPORATION	-			35,160,000		14,687,477,600		1,187,670,192		2,561,953,519
SAMSUNG SDS Co., Ltd.	-			147,512,136		24,915,323,896		30,763,287,209		1,365,155,710
Samsung Global Research Co., Ltd.	-			-		3,591,018,555		5,141,533,509		-
SAMSUNG FIRE & MARINE INSURANCE Co., Ltd. ²	-			1,186,661,297		558,584,269		11,099,660,116		-
Samsung Life Insurance co., Ltd ²	-			3,859,887,502		231,141,579		116,435,253		-
SAMSUNG SECURITIES CO.,LTD ²	-			1,288,186,509		894,257,760		-		-
Others ³	-			61,610,001		2,043,736,310		3,636,590,746		74,675,000
	₩	2,590,547,301	₩	6,628,142,395	₩	79,261,654,791	₩	81,362,911,757	₩	529,805,954,970

¹ The amount relates to transactions occurring after the spin-off effective on November 1, 2025.

² Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As of December 31, 2025, the Group deposited ₩ 42,147 million (December 31, 2024: ₩ 38,320 million) in Samsung Fire & Marine Insurance Co., Ltd., ₩ 45,918 million (December 31, 2024: ₩ 93,589 million) in Samsung Life Insurance Co., Ltd., and ₩ 48,711 million (December 31, 2024: ₩ 39,909 million) in Samsung Securities Co., Ltd., as plan assets.

³It includes transactions with Samsung Card Co., Ltd., Multicampus corporation, Cheil Worldwide Inc., SBTM Corporation, SECUi Corp., Hotel Shilla Co., Ltd., SHP Corporation, MIRACOM Inc., and Samsung SDS America, Inc.

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(in Korean won)

	2024					
	Revenue		Expenses		Asset acquisition	
	Sales	Others	Service Fees	Others		
Parent Company						
Samsung C&T Corp.	₩	-	₩	-	₩	11,960,000
Entity which has significant influence						
Samsung Electronics Co., Ltd		-		11,067,593,873	26,705,521	122,272,727
Associates						
Aimed Bio Inc.	347,005,732	-	-	1,211,129,840		-
Others						
SAMSUNG WELSTORY INC.	-	24,814,755	-	20,303,774,375		-
SAMSUNG ELECTRONICS SALES Co., Ltd.	-	23,100,000	-	149,461,818		-
Samoo Architects & Engineers.	-	-	222,000,000	-		120,000,000
Samsung C&T Deutschland GmbH	-	-	-	2,359,886,448		-
Samsung C&T Japan Corporation	-	-	105,967,272	995,641,920		-
Samsung Electronics America, Inc.	-	-	-	100,377,730		-
Samsung Research America, Inc.	-	-	-	46,817,744		-
The Enterprise Group						
SAMSUNG E&A Co., Ltd.	-	-	-	20,800,000,000		1,439,924,906,848
S-1 CORPORATION	-	-	43,672,073,710	5,288,972,750		1,944,433,960
SAMSUNG SDS Co., Ltd.	-	42,713,514	37,184,286,863	45,211,896,554		5,539,612,363
Samsung Global Research Co., Ltd.	-	-	2,942,520,000	4,674,486,650		-
SAMSUNG FIRE & MARINE INSURANCE Co., Ltd. ¹	-	1,122,993,514	4,128,000	14,617,709,224		-
Samsung Life Insurance Co., Ltd. ¹	-	3,424,697,981	219,137,978	115,011,206		-
SAMSUNG SECURITIES Co., Ltd. ¹	-	1,357,153,719	301,078,078	-		-
Others ²	-	50,556,228	752,841,430	5,194,002,945		1,620,797,102
	₩	347,005,732	₩	6,046,029,711	₩	97,723,982,642
					₩	121,536,749,179
					₩	1,449,283,983,000

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² It includes transactions with Samsung Card Co., Ltd., Multicampus Inc., Cheil Worldwide Inc., SBTM Corporation, SECUi Corp., Hotel Shilla Co., Ltd., SHP Corporation, MIRACOM Inc., Samsung SDS America, Inc., and Samsung Hospitality America, Inc.

The compensation paid or payable to key management for employee services for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025	2024
Short-term employee benefits	₩ 7,307,471,790	₩ 8,723,133,354
Long-term employee benefits	9,907,604,357	5,336,649,094
Retirement benefits	526,601,617	558,735,462
	₩ 17,741,677,764	₩ 14,618,517,910

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Key management refers to the registered directors (including non-executives). Compensation of the Group's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Group has granted long-term incentives to the Group's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

Financing transactions with related parties for years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025	2024	Description
Associates and joint ventures			
SVIC No.54 New Technology Business Investment L.L.P.	₩ (18,865,011,000)	₩ 9,240,000,000	Return of Capital and Equity contribution in cash
SVIC No.64 New Technology Business Investment L.L.P.	1,701,562,500	1,744,875,000	Equity contribution in cash
BrickBio, Inc.(*)	-	1,871,850,341	Equity contribution in cash
Aimed Bio Inc.(*)	-	372,506,269	Equity contribution in cash

(*) The equity interest previously held by Samsung Bioepis Co., Ltd. was spun off through a demerger and, accordingly, was excluded from associates during the current period.

32. Interim Statements of Cash Flows

The group has prepared the cash flows from operating activities using the indirect method. The adjustments related to cash flows from operating activities and the changes in assets and liabilities due to operating activities for the years ended December 31, 2025 and 2024 are as follows:

<i>(in Korean won)</i>	2025	2024
Cash flows from operating activities	₩ 2,840,043,194,400	₩ 1,960,437,982,035
Profit for the	1,784,352,060,593	1,083,315,885,986
Adjustments for:		
Retirement benefits	40,449,486,249	35,350,020,958
Depreciation	357,304,766,108	291,906,881,097
Amortization of intangible assets	265,105,885,041	294,744,808,843
Depreciation of right-of-use assets	11,226,265,064	12,449,454,388
Loss(gain) on valuation of inventories	19,032,331,968	59,418,480,079
Impairment loss on contract assets	10,696,679,566	885,334,551
Impairment loss on property, plant and equipment	-	113,995,597
Loss on retirement of property, plant and equipment	5,435,571,996	508,262,693

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Gain on disposal of property, plant and equipment	(813,632,534)	(81,249,781)
Loss on disposal of property, plant and equipment	828,627,394	1,473,514,537
Impairment loss on intangible assets	-	60,973,619,114
Loss on retirement of intangible assets	3,122,500	367,667
Loss on disposal of intangible assets	-	298,227,366
Impairment loss on right-of-use asset	-	682,100,276
Donation	4,172,865	-
Gain on foreign currency translation	(15,202,468,154)	(99,111,789,701)
Loss on foreign currency translation	29,187,580,244	21,412,402,595
Gain on valuation of derivatives	(4,940,267,758)	(20,594,832,920)
Cost of emissions	551,917,600	500,890,270
Interest income	(52,334,483,377)	(63,839,149,225)
Interest expense	37,698,052,534	50,057,299,800
Gain on Valuation of Financial Assets at Fair Value Through Profit or Loss	(759,344,046)	(597,279,073)
Miscellaneous losses	-	290,562,000
Bad debt expense(reversal)	(811,804,536)	(6,379,525,563)
Share of profit or loss of associates	(43,070,789,852)	(2,659,808,827)
Income tax expense	530,264,983,263	286,735,739,766
Others	(2,672,338,455)	(2,040,923,597)
	<u>1,187,184,313,680</u>	<u>922,497,402,910</u>
Change in operating assets and liabilities:		
Trade and other receivables	292,751,210,083	(450,991,871,500)
Inventories	(388,181,791,579)	(236,200,422,417)
Deposits provided	10,824,174,415	1,592,573,197
Contract assets	(26,473,606,351)	(54,823,511,039)
Other assets	(49,106,503,013)	(40,148,552,741)
Trade and other payables	(226,269,255,426)	409,295,090,511
Contract liabilities	81,825,370,924	74,169,448,997
Emission liabilities	(500,890,270)	(863,719,120)
Advance receipts	184,956,180,699	296,132,539,480
Unearned revenue	37,157,198,459	10,578,388
Other liabilities	2,103,589,598	(1,810,583,792)
Retirement benefits paid	(2,281,768,300)	(5,547,329,260)
Transfer in/out of related parties' defined benefit obligations	1,168,475,000	(2,460,801,480)
	<u>₩ (49,465,564,112)</u>	<u>₩ (33,728,746,085)</u>

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Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)	2025	2024
Spin-off	₩ 5,640,564,052,923	₩ -
Other payables due to acquisition of property, plant and equipment and intangible assets	56,749,800,913	551,094,493,276
Transfer of construction-in-progress to property, plant and equipment and intangible assets	2,596,313,071,527	532,060,648,318
Changes in Right-of-Use Assets and Lease Liabilities ¹	(444,098,088,546)	9,781,111,596

¹ The right-of-use assets that were replaced by land for the year ended December 31, 2025 amount to ₩ 453,769 million (Note 14).

Changes in liabilities arising from financial activities for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	2025													
	Current portion of debentures		Debentures		Short-Term Borrowings		Current Portion of Long-Term Borrowings		Long-Term Borrowings		Lease liabilities		Total	
Beginning Balance	₩	-	₩	917,756,707,992	₩	207,000,000,000	₩	120,000,000,000	₩	95,000,000,000	₩	146,482,767,357	₩	1,486,239,475,349
Changes from Financing Cash Flows:														
Proceeds from Borrowings		-		-		40,000,000,000		-		45,000,000,000		-		85,000,000,000
Issuance of debentures		-		-		-		-		-		-		-
Repayments of Borrowings		-		-		(130,000,000,000)		(120,000,000,000)		-		-		(250,000,000,000)
Redemption of debentures		-		-		-		-		-		-		-
Principal Repayment of Lease Liabilities		-		-		-		-		-		(147,074,574,483)		(147,074,574,483)
Others:														
Reclassification of long-term borrowings to current portion		319,578,037,992		(319,578,037,992)		-		45,000,000,000		(45,000,000,000)		-		-
Effects of exchange rate		-		-		-		-		-		(43,686,936)		(43,686,936)
Bond Discount Amortization		134,666,773		833,046,516		-		-		-		-		967,713,289
Lease Changes		-		-		-		-		-		9,670,660,249		9,670,660,249
Spin-off		-		-		(117,000,000,000)		(45,000,000,000)		(95,000,000,000)		(665,128,583)		(257,665,128,583)
Ending Balance	₩	319,712,704,765	₩	599,011,716,516	₩	-	₩	-	₩	-	₩	8,370,037,604	₩	927,094,458,885

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	2024							
	Current portion of debentures	Debentures	Short-Term Borrowings	Current Portion of Long-Term Borrowings	Long-Term Borrowings	Lease liabilities	Total	
Beginning Balance	₩ 379,723,014,266	₩ 119,782,549,508	₩ 654,500,000,000	₩ 353,682,000,000	₩ 120,000,000,000	₩ 281,645,013,238	₩ 1,909,332,577,012	
Changes from Financing Cash Flows:								
Proceeds from Borrowings	-	-	237,000,000,000	-	95,000,000,000	-	332,000,000,000	
Issuance of debentures	-	797,659,176,800	-	-	-	-	797,659,176,800	
Repayments of Borrowings	-	-	(684,500,000,000)	(353,682,000,000)	-	-	(1,038,182,000,000)	
Redemption of debentures	(380,000,000,000)	-	-	-	-	-	(380,000,000,000)	
Principal Repayment of Lease Liabilities	-	-	-	-	-	(145,265,462,030)	(145,265,462,030)	
Others:								
Reclassification of long-term borrowings to current portion	-	-	-	120,000,000,000	(120,000,000,000)	-	-	
Effects of exchange rate	-	-	-	-	-	322,104,553	322,104,553	
Bond Discount Amortization	276,985,734	314,981,684	-	-	-	-	591,967,418	
Lease Changes	-	-	-	-	-	9,781,111,596	9,781,111,596	
Spin-off	-	-	-	-	-	-	-	
Ending Balance	₩ -	₩ 917,756,707,992	₩ 207,000,000,000	₩ 120,000,000,000	₩ 95,000,000,000	₩ 146,482,767,357	₩ 1,486,239,475,349	

On January 28, 2022, following a resolution of the Board of Directors, the Group entered into a share purchase agreement to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. held by Biogen Therapeutics Inc., with a total purchase price of USD 2,300,000,000 (including a contingent consideration of USD 50,000,000). There was no cash outflow related to the business combination for the year ended December 31, 2025, and the cash outflow for the year ended December 31, 2024, amounted to USD 437,500,000. The related payment obligations were transferred to Samsung Epis Holdings Co., Ltd. as a result of a corporate spin-off.

33. Financial Risk Management

The Group is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements

(a) Risk management policy

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

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(b) Credit risk

The Group assesses the credit quality of the customer, comprehensively taking into account its financial information and pipeline development stages from the point when the contract is made. Also, the Group periodically evaluates the credit worthiness of each customer or counterparty through the analysis of its financial information, historical transaction records and other factors.

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as of December 31, 2025 and 2024 are as follows:

(in Korean won)	2025	2024
Cash and cash equivalents	₩ 148,851,266,520	₩ 391,221,617,203
Short-term financial instruments	1,307,174,500,000	907,350,000,000
Financial assets at fair value through profit or loss ¹	-	3,205,101,250
Long-term financial instruments	226,947,395	385,357,612
Trade and other receivables	667,411,901,892	1,098,252,609,555
Loan	30,563,370	31,311,000
Deposits provided	39,654,238,207	61,976,889,911
Contract assets - unbilled	21,386,327,960	60,360,464,225
	<u>₩ 2,184,735,745,344</u>	<u>₩ 2,522,783,350,756</u>

¹ Equity instruments among financial assets at fair value through profit of loss (FVTPL) have been excluded.

The Group applies the simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade and other receivables and contract assets.

As contract assets share similar risk characteristics with trade and other receivables arising from the same type of contracts, the Group has determined that the loss rates for trade and other receivables represent a reasonable estimate of the loss rates for contract assets.

The Group applies expected credit loss rates considering the forward-looking estimates and probability of default in prior periods for customers with objective evidence of impairment. The Group considered that there was evidence of impairment if any of the following indicators were present:

- Significant financial difficulties of the debtor
- Probability that the debtor will enter bankruptcy or financial reorganization, and
- Default or delinquency in payments

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On that basis, the loss allowance as of December 31, 2025 and 2024 was determined as follows for both trade and other receivables and contract assets:

(in Korean won)

2025							
	Current	Past due					Total
		Less than 1 months	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months	
Expected Loss Rate	0.67%	0.00%	0.00%	0.97%	15.90%	99.99%	5.31%
Gross Carrying Amount – Trade Receivables	₩ 520,826,521,057	₩ 123,615,455,907	₩ 10,763,304,316	₩ 745,702,707	₩ 532,038,722	₩ 34,639,428,559	₩ 691,122,451,268
Gross Carrying Amount – Other Receivables	12,883,127,919	2,797,000	125,000	-	-	136,467,131	13,022,517,050
Gross Carrying Amount – Unbilled contract Assets	23,263,752,387	-	-	-	-	-	23,263,752,387
Allowance for Expected Credit Losses	(3,745,051,497)	(435,493)	-	(7,202,505)	(84,578,113)	(34,773,223,245)	(38,610,490,853)

(in Korean won)

2024							
	Current	Past due					Total
		Less than 1 months	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months	
Expected Loss Rate	0.38%	0.06%	0.13%	0.51%	3.83%	99.36%	3.08%
Gross Carrying Amount – Trade Receivables	₩ 985,896,288,372	₩ 72,748,286,745	₩ 5,646,060,170	₩ 6,061,233,695	₩ 1,154,091,655	₩ 34,928,804,425	₩ 1,106,434,765,062
Gross Carrying Amount – Other Receivables	115,122,503,860	4,173,533,916	159,770,068	14	24,386,924	554,697,454	120,034,892,236
Gross Carrying Amount – Unbilled contract Assets	62,961,074,763	-	-	-	-	-	62,961,074,763
Allowance for Expected Credit Losses	(4,368,275,829)	(45,408,372)	(7,797,371)	(30,630,472)	(45,100,551)	(35,256,975,414)	(39,754,188,009)

Changes in the loss allowance provision for trade and other receivables and contract assets for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)

	Trade Receivables		Other Receivables		Contract Assets	
	2025	2024	2025	2024	2025	2024
Beginning Balance	₩ (36,461,519,034)	₩ (44,996,121,608)	₩ (692,058,437)	₩ (386,697,749)	₩ (2,600,610,538)	₩ (3,543,448,595)
Provision	(232,509,000)	(93,373,621)	(435,493)	(331,892,620)	(396,864,805)	(73,999,613)
Reversal	299,804,216	5,503,529,195	21,758,702	26,531,932	1,120,050,916	1,016,837,670
Write-off	-	3,124,447,000	-	-	-	-
Spin-off	-	-	331,892,620	-	-	-
Ending Balance	₩ (36,394,223,818)	₩ (36,461,519,034)	₩ (338,842,608)	₩ (692,058,437)	₩ (1,877,424,427)	₩ (2,600,610,538)

¹ The profit or loss of Samsung Bioepis Co., Ltd., which was spin-off through an in-kind division during the current period, is included in the profit or loss for both the current and prior periods.

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(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Group manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as of December 31, 2025 and 2024 including estimated interest payments and excluding the impact of netting agreements. The Group does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

(in Korean won)		2025					
	Book amount	Contractual cash flows	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Trade and other payables ¹	₩ 271,638,078,349	₩ 271,638,078,349	₩ 271,638,078,349	₩ -	₩ -	₩ -	-
Lease liabilities	8,370,037,604	8,628,336,451	7,505,916,809	662,148,465	275,397,398		184,873,779
Debentures	918,724,421,281	962,706,780,274	347,093,958,356	615,612,821,918	-		-
Short-term borrowings	-	-	-	-	-		-
Long-term borrowings	-	-	-	-	-		-
	₩ 1,198,732,537,234	₩ 1,242,973,195,074	₩ 626,237,953,514	₩ 616,274,970,383	₩ 275,397,398	₩	184,873,779

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions involved in the supplier financing arrangements maintain sound financial positions, and the Group is not subject to significant liquidity risk concentration related to these institutions (Note 30. (10)).

(in Korean won)		2024					
	Book amount	Contractual cash flows	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Trade and other payables ¹	₩ 1,273,791,157,422	₩ 1,274,532,913,079	₩ 1,270,886,647,526	₩ 382,182,500	₩ 382,182,500	₩	2,881,900,553
Lease liabilities	146,482,767,357	146,306,227,529	138,179,727,635	7,318,902,843	293,423,329		514,173,722
Debentures	917,756,707,992	992,165,580,274	29,458,800,000	347,093,958,356	615,612,821,918		-
Short-term borrowings	207,000,000,000	214,549,325,213	214,549,325,213	-	-		-
Long-term borrowings	215,000,000,000	227,363,880,269	127,563,498,229	48,693,423,170	51,106,958,870		-
	₩ 2,760,030,632,771	₩ 2,854,917,926,364	₩ 1,780,637,998,603	₩ 403,488,466,869	₩ 667,395,386,617	₩	3,396,074,275

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions involved in the supplier financing arrangements maintain sound financial positions, and the Group is not subject to significant liquidity risk concentration related to these institutions (Note 30.(10)).

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(d) Currency risk

The Group is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Group establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) Exposure to currency risk

The Group's exposure to foreign currency risk as of December 31, 2025 and 2024 are as follows:

(in Korean won)		2025					
		USD	EUR	CHF	JPY	GBP	Others
Assets :							
Cash equivalents	₩	70,098,211,301	₩ -	₩ -	₩ -	₩ -	-
Long-term financial instruments		-	-	-	-	-	-
Trade and other receivables		655,824,342,304	329,578,489	-	170,776,779	1,901,019,861	-
Contract assets		23,470,821,234	-	-	-	-	-
		749,393,374,839	329,578,489	-	170,776,779	1,901,019,861	-
Liabilities :							
Trade and other payables		13,368,225,415	2,678,036,930	-	132,738,740	602,281,744	-
	₩	736,025,149,424	₩ (2,348,458,441)	₩ -	₩ 38,038,039	₩ 1,298,738,117	₩ -

(in Korean won)		2024					
		USD	EUR	CHF	JPY	GBP	Others
Assets :							
Cash equivalents	₩	56,793,601,183	₩ 380,288,021	₩ -	₩ -	₩ 6,175,424,513	₩ 588,902,446
Long-term financial instruments		5,567,314,785	-	-	-	-	-
Trade and other receivables		1,053,875,091,536	8,054,731,835	226,620,821	-	463,476,267	1,929,283,202
Contract assets		29,129,360,797	-	-	-	-	-
		1,145,365,368,301	8,435,019,856	226,620,821	-	6,638,900,780	2,518,185,648
Liabilities :							
Trade and other payables		307,386,989,621	20,114,410,449	41,835,722	10,616,969	628,969,709	895,507,530
	₩	837,978,378,680	₩ (11,679,390,593)	₩ 184,785,099	₩ (10,616,969)	₩ 6,009,931,071	₩ 1,622,678,118

(ii) The significant exchange rates applied for the years ended December 31, 2025 and 2024 are as follows:

(in Korean won)		2025		2024	
		Average rate	December 31, 2025	Average rate	December 31, 2024
USD	₩	1,421.89	₩ 1,434.90	₩ 1,363.09	₩ 1,470.00
EUR		1,605.82	1,685.72	1,474.76	1,528.73
CHF		1,714.37	1,811.97	1,548.74	1,626.38
JPY(100 ¥)		950.83	917.63	900.76	936.48
GBP		1,873.91	1,932.31	1,742.08	1,843.67

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(iii) Sensitivity analysis

The Group internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Group's income before tax for the year. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

(in Korean won)	2025		2024	
	10% increase	10% decrease	10% increase	10% decrease
USD	₩ 73,602,514,942	₩ (73,602,514,942)	₩ 83,797,837,868	₩ (83,797,837,868)
EUR	(234,845,844)	234,845,844	(1,167,939,059)	1,167,939,059
CHF	-	-	18,478,510	(18,478,510)
JPY(100 ¥)	3,803,804	(3,803,804)	(1,061,697)	1,061,697
GBP	129,873,812	(129,873,812)	600,993,107	(600,993,107)
Others	-	-	162,267,812	(162,267,812)

(e) Capital management

The Group's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Group may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as of December 31, 2025 and 2024 are as follows:

(in Korean won)	2025	2024
Total liabilities (A)	₩ 3,609,631,328,852	₩ 6,431,620,287,493
Total equity (B)	7,451,110,647,985	10,904,676,062,018
Debt-to-equity ratio (A/B)	48.44%	58.98%

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34. Spin-off

The consolidated group resolved on May 22, 2025 to spin off Samsung Bioepis Co., Ltd. in order to concentrate its capabilities on specialized business areas and to enhance sustainable growth potential. Following approval of the agenda item at the shareholders' meeting on October 17, 2025, the group carried out a human spin-off with Samsung Epis Holdings Co., Ltd. established as a newly incorporated entity, with the effective date of November 1, 2025. The comparative statements of comprehensive income have been restated to present the discontinued operations separately from continuing operations.

(a) Key details of the spin-off

Category	Description
Method of spin-off	Human spin-off
Surviving entity	Samsung Biologics Co., Ltd.
Newly established entity	Samsung Epis Holdings Co., Ltd.
Effective date of spin-off	November 1, 2025

(b) Changes in Assets and Liabilities Resulting from the Spin-off

The difference in the carrying amounts of the assets and liabilities transferred as a result of the spin-off was adjusted in equity in the financial statements.

(in Korean won)		November 1, 2025
Current assets	₩	1,634,915,769,810
Non-current assets		5,611,273,886,960
Total assets		7,246,189,656,770
Current liabilities		997,512,631,220
Non-current liabilities		1,108,165,297,233
Total liabilities		2,105,677,928,453
Net assets		5,140,511,728,317

(c) Overview of Discontinued Operations

(in Korean won)		2025		2024
Revenue	₩	1,144,901,515,139	₩	1,050,176,500,639
Cost of sales		448,847,194,164		470,516,610,712
Selling, general and administrative expenses		488,116,213,405		580,973,890,382
Operating profit		207,938,107,570		(1,314,000,455)
Profit before income tax		195,985,791,172		(14,817,203,994)
Profit from discontinued operations		170,021,751,137		43,014,344,755

The consolidated entity completed a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd., with an effective date of November 1, 2025. Accordingly, the financial information for the current period includes only ten months of results prior to the spin-off.

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(d) Cash flows generated from discontinued operations

<i>(in Korean won)</i>		2025		2024
Cash flows from operating activities	₩	288,690,842,357	₩	284,537,323,411
Cash flows from investing activities		(88,340,609,946)		(67,140,899,792)
Cash flows from financing activities		(165,756,820,578)		(278,482,625,504)
Net cash flows		34,593,411,833		(61,086,201,885)

The consolidated entity carried out a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd., with an effective date of November 1, 2025. Accordingly, the financial information for the current period includes only ten months prior to the spin-off.

Based on the impairment test performed on intangible assets related to discontinued operations, the carrying amounts did not exceed the recoverable amounts, and therefore no impairment loss was recognized during the current period.

In accordance with Article 530-9, Paragraph 1 of the Korean Commercial Act, the surviving company and the newly established company are jointly and severally liable for certain liabilities of the company prior to the spin-off.

35. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission (“SFC”) imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company’s Financial Statements from 2012 to 2015 regarding the Group’s joint venture agreement with Biogen Therapeutics Inc. The measures (“First measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group’s executives in charge; and iii) prosecution against the Group and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Group for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to the first half of 2018. The measures (“Second measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group’s representative director (CEO) and executives in charge; iii) referral of the case against the Group and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of 8 billion won on November 21, 2018.

The Group filed a complaint for the cancellation of the measures taken by the Securities and Futures Commission and the Financial Services Commission on October 8, 2018 (first measure) and November 27, 2018 (second measure) to substantiate the legitimacy of the accounting treatment. The cancellation lawsuit for the first measure has been finalized, while the cancellation lawsuit for the second measure is ongoing.

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Regarding the cancellation lawsuit related to the first measure, on September 24, 2020, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the company by the Securities and Futures Commission and decided to suspend the effect of the disposition until the appellate court ruling. However, on October 16, 2020, the Securities and Futures Commission appealed the first instance ruling. On June 11, 2025, the Seoul High Court dismissed the appeal by the Securities and Futures Commission, and although the Commission filed an appeal against the ruling on June 30, 2025, the Supreme Court dismissed the appeal on September 25, 2025, thereby finalizing the full acceptance of the company's cancellation claim. Regarding the cancellation lawsuit related to the second measure, on August 14, 2024, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the company by the Securities and Futures Commission. However, on August 28, 2024, the Securities and Futures Commission appealed the first-instance ruling, and the lawsuit is currently ongoing at the Seoul High Court.

In addition, the Group submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on December 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC's measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the consolidated financial statements from 2012 to 2022 could potentially be restated.

If the Company's financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's consolidated financial statements in 2025.

With respect to this matter, the investigation by the prosecutor against the Company's former CEO, CFO and others for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act was carried out. In 2021, the Group's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act.

On February 5, 2024, the Seoul Central District Court acquitted to the Company's former CEO and CFO on charges of violation of the Act on External Audit of Stock Companies, and the prosecutor appealed the Court's acquittal on February 8, 2024. On February 3, 2025, the Seoul High Court dismissed the prosecution's appeal. Subsequently, on February 7, 2025, the prosecution filed an appeal to the Supreme Court against the appellate court's decision. On July 17, 2025, the Supreme Court dismissed the prosecution's appeal, thereby finalizing the acquittal of the former CEO and former CFO. In addition, on February 14, 2024, the Seoul Central District Court acquitted to the Group's former CEO and CFO for alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act. With respect to the allegations of evidence destruction, the former CEO was acquitted, and the CFO received suspended sentence. The prosecutor appealed the Court's first trial on February 20, 2024, and the CFO who received suspended sentence appealed the Court's first trial on February 21, 2024.

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On December 9, 2019, employees of the company and its affiliates, who had been indicted on charges including obstruction of justice related to a prosecutorial search and seizure, were convicted in the first instance by the Seoul Central District Court for violations of the Act on External Audit of Stock Companies and the Criminal Act. Employees of Samsung Bioepis Co., Ltd have filed an appeal against this first-instance judgment.

If the Group's consolidated financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's interim consolidated financial statements in 2025 mainly due to the elimination of fair value valuation for Samsung Bioepis in 2015.

(a) Impact on Financial Position

If the Group loses the administrative litigation, it shall restate the statements of financial position (consolidated statements of financial position from 2012 to 2014 and 2020 to 2022) as indicated by the Securities and Futures Commission and its impact shall be as follows.

(i) As of December 31, 2022 and 2021

(in thousands of
Korean won)

	2022			2021		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 6,457,656,567	₩ -	₩ 6,457,656,567	₩ 2,823,175,325	₩ -	₩ 2,823,175,325
Non-current assets	10,124,393,691	-	10,124,393,691	5,146,835,462	(2,210,143,107)	2,936,692,355
Investments in associates and joint ventures	30,774,606	-	30,774,606	2,661,309,486	(2,330,759,762)	330,549,724
Deferred tax assets	-	-	-	-	120,616,655	120,616,655
Total assets	16,582,050,258	-	16,582,050,258	7,970,010,787	(2,210,143,107)	5,759,867,680
Liabilities						
Current liabilities	4,181,541,561	-	4,181,541,561	1,107,294,649	-	1,107,294,649
Current tax liabilities	223,298,677	-	223,298,677	110,174,302	-	110,174,302
Non-current liabilities	3,416,034,302	-	3,416,034,302	1,871,613,997	(487,711,643)	1,383,902,354
Deferred tax liabilities	1,214,215,656	-	1,214,215,656	487,711,643	(487,711,643)	-
Total liabilities	7,597,575,863	-	7,597,575,863	2,978,908,646	(487,711,643)	2,491,197,003
Equity						
Share premium	5,663,111,353	9,313,768	5,672,425,121	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(2,173,393)	195,729	(1,977,664)	(8,810,638)	(1,738,979)	(10,549,617)
Retained earnings	3,145,601,436	(9,509,498)	3,136,091,938	2,347,187,197	(1,730,006,253)	617,180,944
Total equity	8,984,474,395	-	8,984,474,395	4,991,102,141	(1,722,431,464)	3,268,670,677
Total liabilities and equity	₩ 16,582,050,258	₩ -	₩ 16,582,050,258	₩ 7,970,010,787	₩ (2,210,143,107)	₩ 5,759,867,680

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(ii) As of December 31, 2020 and 2019

(in thousands of
Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 1,751,347,248	₩ -	₩ 1,751,347,248	₩ 1,356,261,664	₩ -	₩ 1,356,261,664
Non-current assets	4,672,853,916	(2,231,970,559)	2,440,883,357	4,555,364,848	(2,266,795,380)	2,288,569,468
Investments in associates and joint ventures	2,634,428,494	(2,351,085,909)	283,342,585	2,652,731,622	(2,369,723,569)	283,008,053
Deferred tax assets	-	119,115,350	119,115,350	-	102,928,189	102,928,189
Total assets	6,424,201,164	(2,231,970,559)	4,192,230,605	5,911,626,512	(2,266,795,380)	3,644,831,132
Liabilities						
Current liabilities	589,300,919	-	589,300,919	690,505,243	-	690,505,243
Current tax liabilities	23,259,655	-	23,259,655	12,857,398	-	12,857,398
Non-current liabilities	1,236,117,073	(449,847,440)	786,269,633	866,667,524	(470,544,915)	396,122,609
Deferred tax liabilities	449,847,440	(449,847,440)	-	470,544,915	(470,544,915)	-
Total liabilities	1,825,417,992	(449,847,440)	1,375,570,552	1,557,172,767	(470,544,915)	1,086,627,852
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(7,540,139)	(1,738,979)	(9,279,118)	(10,894,766)	(1,738,979)	(12,633,745)
Retained earnings	1,953,597,729	(1,789,697,909)	163,899,820	1,712,622,929	(1,803,825,254)	(91,202,325)
Total equity	4,598,783,172	(1,782,123,119)	2,816,660,053	4,354,453,745	(1,796,250,465)	2,558,203,280
Total liabilities and equity	₩ 6,424,201,164	₩ (2,231,970,559)	₩ 4,192,230,605	₩ 5,911,626,512	₩ (2,266,795,380)	₩ 3,644,831,132

(iii) As of December 31, 2018 and 2017

(in thousands of
Korean won)

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 1,577,683,716	₩ -	₩ 1,577,683,716	₩ 620,995,135	₩ -	₩ 620,995,135
Non-current assets	4,402,724,932	(2,341,121,903)	2,061,603,029	6,562,096,027	(3,913,984,446)	2,648,111,581
Investments in associates and joint ventures	2,561,802,520	(2,387,705,348)	174,097,172	5,008,234,005	(4,503,664,434)	504,569,571
Deferred tax assets	-	46,583,445	46,583,445	-	589,679,987	589,679,987
Total assets	5,980,408,648	(2,341,121,903)	3,639,286,745	7,183,091,162	(3,913,984,446)	3,269,106,716
Liabilities						
Current liabilities	710,529,787	(38,759)	710,491,028	2,287,442,106	-	2,287,442,106
Current income tax liabilities	39,623,718	(38,759)	39,584,959	-	-	-
Derivative liabilities	-	-	-	1,933,562,427	-	1,933,562,427
Non-current liabilities	1,114,410,410	(534,542,329)	579,868,081	919,198,164	(505,315,891)	413,882,273
Deferred tax liabilities	534,542,330	(534,542,330)	-	505,315,891	(505,315,891)	-
Total liabilities	1,824,940,197	(534,581,088)	1,290,359,109	3,206,640,270	(505,315,891)	2,701,324,379
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(6,975,961)	(1,738,979)	(8,714,940)	(4,009,447)	(3,780,868)	(7,790,315)
Retained earnings	1,509,718,830	(1,814,115,605)	(304,396,775)	1,327,734,757	(3,414,201,456)	(2,086,466,699)
Total equity	4,155,468,451	(1,806,540,815)	2,348,927,636	3,976,450,892	(3,408,668,555)	567,782,337
Total liabilities and equity	₩ 5,980,408,648	₩ (2,341,121,903)	₩ 3,639,286,745	₩ 7,183,091,162	₩ (3,913,984,446)	₩ 3,269,106,716

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(iv) As of December 31, 2016 and 2015

(in thousands of
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	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 1,461,425,176	₩ -	₩ 1,461,425,176	₩ 192,853,895	₩ -	₩ 192,853,895
Non-current assets	6,071,590,930	(3,947,716,748)	2,123,874,182	5,767,639,821	(3,982,608,742)	1,785,031,079
Investments in associates and joint ventures	4,944,356,290	(4,519,128,821)	425,227,469	4,837,539,390	(4,533,780,087)	303,759,303
Deferred tax assets	-	571,412,073	571,412,073	-	551,171,345	551,171,345
Total assets	7,533,016,106	(3,947,716,748)	3,585,299,358	5,960,493,716	(3,982,608,742)	1,977,884,974
Liabilities						
Current liabilities	2,476,545,193	-	2,476,545,193	1,911,669,204	-	1,911,669,204
Derivative liabilities	1,874,470,943	-	1,874,470,943	1,820,439,050	-	1,820,439,050
Non-current liabilities	974,091,453	(526,670,614)	447,420,839	1,273,990,355	(581,574,424)	692,415,931
Deferred tax liabilities	526,670,614	(526,670,614)	-	581,574,424	(581,574,424)	-
Total liabilities	3,450,636,646	(526,670,614)	2,923,966,032	3,185,659,559	(581,574,424)	2,604,085,135
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	1,030,620,605	9,313,768	1,039,934,373
Accumulated other comprehensive loss	4,947,005	(3,948,258)	998,747	4,839,666	(3,778,548)	1,061,118
Retained earnings	1,424,706,873	(3,426,411,645)	(2,001,704,772)	1,601,530,283	(3,406,569,539)	(1,805,039,256)
Total equity	4,082,379,460	(3,421,046,134)	661,333,326	2,774,834,157	(3,401,034,318)	(626,200,161)
Total liabilities and equity	₩ 7,533,016,106	₩ (3,947,716,748)	₩ 3,585,299,358	₩ 5,960,493,716	₩ (3,982,608,742)	₩ 1,977,884,974

(v) As of December 31, 2014 and 2013

(in thousands of
Korean won)

	2014			2013		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 216,838,130	₩ (106,686,799)	₩ 110,151,331	₩ 156,395,179	₩ (112,364,693)	₩ 44,030,486
Non-current assets	1,138,859,825	(57,023,021)	1,081,836,804	503,166,162	16,598,535	519,764,697
Investments in associates and joint ventures	53,921,974	311,196,041	365,118,015	-	166,631,898	166,631,898
Deferred tax assets	-	-	-	-	-	-
Total assets	1,355,697,955	(163,709,820)	1,191,988,135	659,561,341	(95,766,158)	563,795,183
Liabilities						
Current liabilities	236,793,886	(86,282,991)	150,510,895	169,229,512	(40,234,504)	128,995,008
Non-current liabilities	488,171,822	(52,359,864)	435,811,958	105,868,478	(26,406,024)	79,462,454
Total liabilities	724,965,708	(138,642,855)	586,322,853	275,097,990	(66,640,528)	208,457,462
Equity						
Share premium	801,800,313	7,117,379	808,917,692	516,719,342	-	516,719,342
Accumulated other comprehensive loss	9,170,941	(203,819)	8,967,122	(2,341,862)	(136,268)	(2,478,130)
Retained earnings	(314,664,171)	611,394	(314,052,777)	(218,754,883)	416,267	(218,338,616)
Non-controlling interest	32,591,919	(32,591,919)	-	29,405,629	(29,405,629)	-
Total equity	630,732,247	(25,066,965)	605,665,282	384,463,351	(29,125,630)	355,337,721
Total liabilities and equity	₩ 1,355,697,955	₩ (163,709,820)	₩ 1,191,988,135	₩ 659,561,341	₩ (95,766,158)	₩ 563,795,183

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(vi) As of December 31, 2012

(in thousands of Korean won)

	2012		
	Before restatement	Adjustment	After restatement
Assets			
Current assets	₩ 217,858,628	₩ (141,513,019)	₩ 76,345,609
Non-current assets	344,486,626	77,518,098	422,004,724
Investments in associates and joint ventures	-	163,615,991	163,615,991
Total assets	562,345,254	(63,994,921)	498,350,333
Liabilities			
Current liabilities	107,516,998	(34,243,680)	73,273,318
Non-current liabilities	6,366,172	(1,059,834)	5,306,338
Total liabilities	113,883,170	(35,303,514)	78,579,656
Equity			
Share premium	452,386,129	-	452,386,129
Accumulated other comprehensive loss	(990,977)	(97,997)	(1,088,974)
Retained earnings	(83,168,967)	280,000	(82,888,967)
Non-controlling interest	28,873,410	(28,873,410)	-
Total equity	448,462,084	(28,691,407)	419,770,677
Total liabilities and equity	₩ 562,345,254	₩ (63,994,921)	₩ 498,350,333

(b) Impact on Financial Performance

If the Company loses the administrative litigation, it shall restate the statements of comprehensive income (consolidated statements of comprehensive income from 2012 to 2014 and 2020 to 2022) as indicated by the Securities and Futures Commission and its impact shall be as follows.

(i) For the years ended December 31, 2022 and 2021

(in thousands of Korean won)

	2022			2021		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 3,001,295,198	₩ -	₩ 3,001,295,198	₩ 1,568,006,928	₩ -	₩ 1,568,006,928
Cost of revenue	(1,532,847,165)	-	(1,532,847,165)	(841,555,563)	-	(841,555,563)
Gross profit	1,468,448,033	-	1,468,448,033	726,451,365	-	726,451,365
Operating profit	983,627,394	-	983,627,394	537,309,408	-	537,309,408
Equity gain (loss) on investments in associates and joint ventures	27,259,827	5,081,537	32,341,364	13,853,142	20,326,148	34,179,290
Gain on disposal of investments in joint ventures	64,417,937	2,325,736,326	2,390,154,263	-	-	-
Net profit before income tax	1,009,024,574	2,330,817,863	3,339,842,437	561,282,597	20,326,148	581,608,745
Income tax expenses (benefit)	210,968,364	608,328,298	819,296,662	167,693,130	(39,365,508)	128,327,622
Net profit for the year	798,056,210	1,722,489,565	2,520,545,775	393,589,468	59,691,656	453,281,124
Other comprehensive income (loss)	6,995,274	1,576,680	8,571,954	(1,270,499)	-	(1,270,499)
Total comprehensive income for the year	₩ 805,051,484	₩ 1,724,066,244	₩ 2,529,117,728	₩ 392,318,968	₩ 59,691,656	₩ 452,010,624

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

December 31, 2025 and 2024

(ii) For the years ended December 31, 2020 and 2019

(in thousands of
Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 1,164,776,874	₩ -	₩ 1,164,776,874	₩ 701,591,860	₩ -	₩ 701,591,860
Cost of revenue	(748,700,763)	-	(748,700,763)	(509,584,425)	-	(509,584,425)
Gross profit	416,076,111	-	416,076,111	192,007,435	-	192,007,435
Operating profit	292,786,554	-	292,786,554	91,742,387	-	91,742,387
Equity gain (loss) on investments in associates and joint ventures	(17,767,694)	18,637,659	869,965	72,940,116	17,981,780	90,921,896
Net profit before Income tax	265,992,163	18,637,659	284,629,822	155,435,309	17,981,780	173,417,089
Income tax expenses (benefit)	25,017,363	4,510,313	29,527,676	(47,468,790)	7,691,429	(39,777,361)
Net profit for the year	240,974,800	14,127,346	255,102,146	202,904,099	10,290,351	213,194,450
Other comprehensive income (loss)	3,354,627	-	3,354,627	(3,918,805)	-	(3,918,805)
Total comprehensive income for the year	₩ 244,329,427	₩ 14,127,346	₩ 258,456,773	₩ 198,985,294	₩ 10,290,351	₩ 209,275,645

(iii) For the years ended December 31, 2018 and 2017

(in thousands of
Korean won)

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 535,805,801	₩ -	₩ 535,805,801	₩ 464,629,334	₩ -	₩ 464,629,334
Cost of revenue	(390,645,859)	-	(390,645,859)	(332,829,273)	-	(332,829,273)
Gross profit	145,159,942	-	145,159,942	131,800,061	-	131,800,061
Operating profit	55,678,745	-	55,678,745	65,979,402	-	65,979,402
Equity gain (loss) on investments in associates and joint ventures	(129,337,333)	(3,364,228)	(132,701,561)	(129,602,338)	15,464,387	(114,137,951)
Gain on disposal of investments in joint ventures	389,213,672	2,119,447,933	2,508,661,605	-	-	-
Loss on valuation of derivatives	-	-	-	(59,091,484)	-	(59,091,484)
Net profit before Income tax	302,975,837	2,116,083,704	2,419,059,541	(115,994,753)	15,464,387	(100,530,366)
Income tax expenses (benefit)	78,866,642	513,831,346	592,697,988	(19,022,637)	3,254,198	(15,768,439)
Net profit for the year	224,109,195	1,602,252,358	1,826,361,553	(96,972,116)	12,210,189	(84,761,927)
Other comprehensive income (loss)	(2,966,514)	(274,831)	(3,241,345)	(8,956,451)	167,389	(8,789,062)
Total comprehensive income for the year	₩ 221,142,681	₩ 1,601,977,527	₩ 1,823,120,208	₩ (105,928,567)	₩ 12,377,578	₩ (93,550,989)

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

December 31, 2025 and 2024

(iv) For the years ended December 31, 2016 and 2015

(in thousands of
Korean won)

	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 294,622,021	₩ -	₩ 294,622,021	₩ 91,278,029	₩ (23,901,796)	₩ 67,376,233
Cost of revenue	(268,088,358)	-	(268,088,358)	(114,784,617)	48,453,429	(66,331,188)
Gross profit	26,533,663	-	26,533,663	(23,506,588)	24,551,633	1,045,045
Operating profit	(30,422,639)	-	(30,422,639)	(203,642,444)	160,536,379	(43,106,065)
Equity gain (loss) on investments in associates and joint ventures	(129,222,650)	14,651,266	(114,571,384)	(19,395,735)	(151,241,000)	(170,636,735)
Earnings from disposal of investments in subsidiaries	-	-	-	4,543,610,535	(4,543,610,535)	-
Loss on valuation of derivatives	(54,031,894)	-	(54,031,894)	(1,820,439,050)	-	(1,820,439,050)
Net profit before Income tax	(230,900,983)	14,651,266	(216,249,717)	2,488,062,610	(4,528,216,321)	(2,040,153,711)
Income tax expenses (benefit)	(54,077,574)	34,493,373	(19,584,201)	583,116,693	(1,132,283,925)	(549,167,232)
Net profit for the year	(176,823,409)	(19,842,107)	(196,665,516)	1,904,945,917	(3,395,932,396)	(1,490,986,479)
Other comprehensive income (loss)	107,338	(169,709)	(62,371)	(8,535,494)	629,489	(7,906,005)
Total comprehensive income for the year	₩ (176,716,071)	₩ (20,011,816)	₩ (196,727,887)	₩ 1,896,410,423	₩ (3,395,302,907)	₩ (1,498,892,484)

(v) For the years ended December 31, 2014 and 2013

(in thousands of
Korean won)

	2014			2013		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 105,148,784	₩ (76,130,543)	₩ 29,018,241	₩ 17,120,845	₩ (17,077,340)	₩ 43,505
Cost of revenue	(124,868,406)	41,530,645	(83,337,761)	(54,438,932)	54,399,778	(39,154)
Gross profit	(19,719,622)	(34,599,898)	(54,319,520)	(37,318,087)	37,322,438	4,351
Operating profit	(119,541,186)	38,655,238	(80,885,948)	(154,092,746)	89,212,838	(64,879,908)
Equity gain (loss) on investments in associates and joint ventures	(32,679,484)	(35,067,057)	(67,746,541)	-	(73,031,096)	(73,031,096)
Net profit before Income tax	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Net profit for the year	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Other comprehensive income (loss)	11,295,735	149,517	11,445,252	(1,424,072)	34,915	(1,389,157)
Total comprehensive income for the year	₩ (88,392,667)	₩ 4,123,758	₩ (84,268,909)	₩ (149,897,828)	₩ 13,059,023	₩ (136,838,805)

(vi) For the year ended December 31, 2012

(in thousands of Korean won)

	2012		
	Before restatement	Adjustment	After restatement
Revenue	₩ -	₩ -	₩ -
Cost of revenue	-	-	-
Gross profit	-	-	-
Operating profit	(91,357,686)	51,645,812	(39,711,874)
Equity gain (loss) on investments in associates and joint ventures	-	(40,016,257)	(40,016,257)
Net profit before Income tax	(80,241,939)	7,341,692	(72,900,247)
Income tax expenses (benefit)	2,066,460	-	2,066,460
Net profit for the year	(82,308,399)	7,341,692	(74,966,707)
Other comprehensive income (loss)	(1,038,989)	(50,393)	(1,089,382)
Total comprehensive income for the year	₩ (83,347,388)	₩ 7,291,299	₩ (76,056,089)

Independent Auditors' Report on Internal Control over Financial Reporting for Consolidated Purposes

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of
Samsung Biologics Co., Ltd

Opinion on Internal Control over Financial Reporting for Consolidation Purposes

We have audited Samsung Biologics Co., Ltd and its subsidiaries ("the Group")'s internal control over financial reporting ("ICFR") for consolidation purposes as of December 31, 2025 based on the criteria established in the Conceptual Framework for Designing and Operating ICFR ("ICFR Design and Operation Framework") issued by the Operating Committee of Internal Control over Financial Reporting in the Republic of Korea (the "ICFR Committee").

In our opinion, the Group maintained, in all material respects, effective internal control over financial reporting for consolidation purposes as of December 31, 2025, based on ICFR Design and Operation Framework.

We also have audited, in accordance with Korean Standards on Auditing (KSAs), the consolidated financial statements of the Group, which comprise the consolidated statement of financial position as of December 31, 2025, the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, including material accounting policies, and our report dated February 25, 2026 expressed an unmodified opinion on those consolidated financial statements.

Basis for Opinion on Internal Control over Financial Reporting for Consolidation Purposes

We conducted our audit in accordance with KSAs. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Internal Control over Financial Reporting for Consolidation Purposes* section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the internal control over financial reporting in Republic of Korea, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

The Company's Chief Executive Officer and the Internal Control over Financial Reporting Officer excluded Samsung Bioepis Co., Ltd. and its subsidiaries, whose scope of consolidation changed during the period, from management's assessment in accordance with the Standard for Evaluation and Reporting of Internal Control over Financial Reporting. Accordingly, the auditor also excluded such components from the audit scope in the same manner as management.

Responsibilities of Management and Those Charged with Governance for the Internal Control over Financial Reporting for Consolidation Purposes

The Group's management is responsible for designing, operating and maintaining effective internal control over financial reporting for consolidation purposes and for its assessment of the effectiveness of internal control over financial reporting for consolidation purposes, included in the accompanying internal control over financial reporting for consolidation purposes.

Those charged with governance are responsible for overseeing the Group's internal control over financial reporting for consolidation purposes.



Auditors' Responsibilities for the Audit of the Internal Control over Financial Reporting for Consolidation Purposes

Our responsibility is to express an opinion on the Group's internal control over financial reporting for consolidation purposes based on our audit. We conducted our audit in accordance with KSAs. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting for consolidation purposes was maintained in all material respects.

An audit of internal control over financial reporting for consolidation purposes includes performing procedures to obtain audit evidence about whether a material weakness exists. The procedures selected depend on the auditor's judgment, including the assessment of the risk that a material weakness exists. The audit involves obtaining an understanding of internal control over financial reporting for consolidation purposes, and testing and evaluating the design and operating effectiveness of internal controls based on the assessed risks.

Definition and Limitations of Internal Control over Financial Reporting for Consolidation Purposes

A company's internal control over financial reporting for consolidation purposes is implemented by those charged with governance, management, and other employees, and is designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of consolidated financial statements for external purposes in accordance with Korean International Financial Reporting Standards ("K-IFRS"). A company's internal control over financial reporting for consolidation purposes includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Group; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of consolidated financial statements in accordance with K-IFRS, and that receipts and expenditures of the Group are being made only in accordance with authorizations of management and directors of the Group; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Group's assets that could have a material effect on the consolidated financial statements.

Because of its inherent limitations, internal control over financial reporting for consolidation purposes may not prevent or detect material misstatements in the consolidated financial statements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

The engagement partner on the audit resulting in this independent auditors' report is Jae-Kwang Ra.

KPMG Samjong Accounting Corp.

Seoul, Korea
February 25, 2026

This report is effective as of February 25, 2026, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the internal control over financial reporting. Accordingly, the readers of the audit report should understand that the above audit report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

**Management's Report on the Effectiveness of
Internal Control over Financial Reporting for Consolidation Purposes**

(English Translation of a Report Originally Issued in Korean)

To the Shareholders, Board of Directors and Audit Committee of
Samsung Biologics Co., Ltd.

We, as the Chief Executive Officer (CEO) and the Internal Control over Financial Reporting Officer of Samsung Biologics Co., Ltd. and its subsidiaries (collectively referred to as the "Group"), assessed the effectiveness of the design and operation of the Group's Internal Control over Financial Reporting (ICFR) for Consolidation Purposes for the year ended December 31, 2025.

The Group's management, including ourselves, is responsible for designing and operating ICFR for consolidation purposes.

We assessed the design and operating effectiveness of ICFR for consolidation purposes in the prevention and detection of an error or fraud which may cause material misstatements in the preparation and disclosure of reliable consolidated financial statements.

We designed and operated ICFR for consolidation purposes in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting* established by the Operating Committee of Internal Control over Financial Reporting in Korea (the ICFR Committee). In addition, in assessing the design and operating effectiveness of the internal control over financial reporting for consolidation purposes, the 'Standards for Evaluating and Reporting on Internal Control over Financial Reporting' Annex 6 of the Detailed Enforcement Rule of the Regulation on External Audit and Accounting.

Based on the assessment results, we believe that the Group's ICFR for consolidation purposes, as of December 31, 2025, is designed and operating effectively, in all material respects, in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We certify that this report does not contain any untrue statement of a fact, or omit to state a fact necessary to be presented herein. We also certify that this report does not contain or present any statements which cause material misunderstandings, and we have reviewed and verified this report with sufficient due care.

February 11, 2026

John Rim,
Chief Executive Officer

Seung Ho Ryu,
Internal Control over Financial Reporting Officer

(Attachment)

Entity Level Controls	<Operation of the anti-fraud system> Management operates a whistleblowing system that allows anonymous reporting through the website. After investigating the facts regarding the reported case, the results are reported to the board of directors and the audit committee. Related matters are shared with all executives and employees through public notices.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Fraud risk assessment> Management updates the identification and assessment of potential fraud risks, taking into account changes in business processes, and appropriately reflects this in controls. When indications of fraud are detected, they are reflected in the internal audit team's work plan and an investigation is carried out, and action plans for improvement of the identified fraud risks and control weaknesses are developed and implemented.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	< segregation of duties> Management has established criteria for segregation of duties for incompatible tasks among those related to financial reporting, and internal control group manages the design of the segregation of duties for controls is kept up to date reflecting changes in business processes and can operate appropriately.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Monitoring> Management has established and applied an internal control management system in order to effectively perform monitoring of the design and operation status of the internal control, and has established and is operating a continuous monitoring system so that unusual signs can be identified through analysis of financial data.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
Treasury Controls	<Bank account setup/change> The approval authority reviews and approves the reason when setting up or changing bank account.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Account status management> The person with approval authority reconciles the balance certificates received from the bank with the balance on ERP, then reviews and approves the account status.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)

	<Seal Management> Corporate seals and treasury-related seals and OTPs are subject to restricted physical access, and an approver with authorization reviews the approval request form and grants approval for their use, and the details of use are recorded.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Restriction on fund disbursement, firm banking> When making payments, the payment can be executed only if the account is registered.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Review of fund disbursement> The individual with approval authority reviews and approves the payment transfer request details (payment resolution request form), by reviewing whether they are consistent with the total value of daily disbursement funds (payment resolution planning form) and the key matters included in the supporting documents for the request details.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Segregation of duties – Disbursement and Posting> The preparer of payment Journal Entries and the approver are segregated, and the approver for payment disbursement and the final approver of payment voucher are segregated.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Daily cashflow management> The person with approval authority reviews and approves whether the balance and the details of cash inflows and outflows in the daily cash flow report are consistent with the bank account sheet.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Review of Financing activities> The person with approval authority shall review and approve the appropriateness of the key requirements stated in the borrowing and debt issuance request form (such as transaction terms, liquidated damages, total amount of borrowing and amortization schedule, threshold, etc.) and, when a Board of Directors resolution is required, submit the matter to the Board of Directors.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Vendor Master creation/change review> The approving authority reviews the key information (business registration number, address, etc.) on the Vendor Master creation/change request form to confirm that it matches the supporting documents, and then approves it.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
Other controls	<Customer Master creation and modification review> The person with approval authority reviews whether key information (business registration number, address, etc.) on the Customer Master creation/modification request matches the supporting	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26

	documents, and then approves it.		January, etc.)
	<i><Finalizing inventory quantities through physical inventory counting></i> The authorized approver reviews and approves the inventory count results through receives the inventory observation report, including the inventory count list,.	Samsung Biologics Co., Ltd.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)